

COUR PERMANENTE DE JUSTICE INTERNATIONALE

SÉRIE A/B

ARRÊTS, ORDONNANCES ET AVIS CONSULTATIFS

FASCICULE N° 46

AFFAIRE DES ZONES FRANCHES
DE LA HAUTE-SAVOIE
ET DU PAYS DE GEX

ARRÊT DU 7 JUIN 1932

XXV^{me} SESSION

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JUDGMENT OF JUNE 7th, 1932

PERMANENT COURT OF INTERNATIONAL JUSTICE

SERIES A./B.

JUDGMENTS, ORDERS AND ADVISORY OPINIONS

FASCICULE No. 46

CASE OF THE FREE ZONES
OF UPPER SAVOY
AND THE DISTRICT OF GEX

LEYDE
SOCIÉTÉ D'ÉDITIONS
A. W. SIJTHOFF

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PERMANENT COURT OF INTERNATIONAL JUSTICE

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CASE OF THE FREE ZONES OF UPPER SAVOY AND THE DISTRICT OF GEX

Interpretation of Article 435, paragraph 2, of the Treaty of Versailles with its Annexes (Swiss note of May 5th, 1919; French note of May 18th, 1919): has this provision abrogated, or is it intended to lead to the abrogation of, the "old stipulations" regarding the following free zones: the zone of the Pays de Gex; the "Sardinian" zone; the zone of Saint-Gingolph and the "Lake" zone? (Treaties of Paris of May 30th, 1814, and November 20th, 1815; Act of the Congress of Vienna of June 9th, 1815; declarations of the Powers of March 20th and 29th and November 20th, 1815; Protocol of November 3rd, 1815; Acts of accession of the Helvetic Diet of May 27th and August 12th, 1815; Treaty of Turin of March 16th, 1816; Manifesto, etc., of September 9th, 1829.)

Settlement of the "new régime" for the free zones: New pleas submitted in the last phase of the proceedings (the rebus sic stantibus clause): admissibility of these pleas.—Importations free of duty: power of the Court to regulate this matter.—Power of the Court, having declared that it has no jurisdiction to undertake a part of the task entrusted to it, to deliver a judgment.—Limitations upon the Court's jurisdiction resulting from the sovereignty of the States concerned in the case.—Customs cordon and control cordon.

JUDGMENT.

Before: MM. ANZILOTTI, acting as President; LODER, ALTAMIRA, ODA, HUBER, Sir CECIL HURST, MM. KELLOGG, YOVANOVITCH, BEICHMANN, NEGULESCO, Judges; M. DREYFUS, Judge ad hoc.

In the case concerning the free zones of Upper Savoy and the District of Gex,

Between

the Government of the French Republic, represented by M. J. Basdevant, Legal Adviser to the French Ministry for Foreign Affairs, Professor of the Faculty of Law at the University of Paris,

and

the Government of the Swiss Confederation, represented by H.E. M. A. de Pury, Swiss Minister to the Netherlands, and by M. P. Logoz, Member of the Swiss National Council, and Professor at the University of Geneva,

The Court,

composed as above,

delivers the following judgment :

By a Special Agreement, which was signed at Paris on October 30th, 1924—the ratifications being exchanged on March 21st, 1928—and which was filed with the Registry of the Court under cover of letters dated March 29th, 1928, from the Ministers of France and Switzerland at The Hague, the Governments of the French Republic and of the Swiss Confederation, having been unable to agree in regard to the interpretation to be placed upon Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, and not having been able to effect the agreement provided for therein by direct negotiations, have asked the Court to determine the said interpretation, and to settle all the questions involved by the execution of paragraph 2 of Article 435 of the said Treaty.

The relevant clauses of the Special Agreement of October 30th, 1924, are worded as follows :

“Article I.

It shall rest with the Permanent Court of International Justice to decide whether, as between Switzerland and France,

Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated or is intended to lead to the abrogation of the provisions of the Protocol of the Conference of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, and of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the Pays de Gex, having regard to all facts anterior to the Treaty of Versailles, such as the establishment of the Federal Customs in 1849, which are considered relevant by the Court.

The High Contracting Parties agree that the Court, as soon as it has concluded its deliberation on this question, and before pronouncing any decision, shall accord to the two Parties a reasonable time to settle between themselves the new régime to be applied in those districts, under such conditions as they may consider expedient, as provided in Article 435, paragraph 2, of the said Treaty. This time may be extended at the request of the two Parties.

Article 2.

Failing the conclusion and ratification of a convention between the two Parties within the time specified, the Court shall, by means of a single judgment rendered in accordance with Article 58 of the Court's Statute, pronounce its decision in regard to the question formulated in Article 1 and settle for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles.

Should the judgment contemplate the import of goods free or at reduced rates through the Federal Customs barrier or through the French Customs barrier, regulations of such importation shall only be made with the consent of the two Parties.

Article 3.

Each of the High Contracting Parties shall file with the Registry of the Court, in the number of copies laid down by Article 34 of the Rules of Court :

(1) within six months after the ratification of the present Special Agreement, its Case upon the question set out in Article 1, paragraph 1, with a certified true copy of all documents and evidence in support thereof ;

(2) within five months from the expiration of the above-mentioned time, its Counter-Case with a certified true copy of all documents and evidence in support ;

(3) within five months from the expiration of the preceding time, its Reply with a certified true copy of all documents and evidence in support and its final conclusions.

Article 4.

Should the Court, in accordance with Article 2, be called upon itself to settle all the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles, it shall grant the Parties reasonable times for the production of all documents, proposals and observations which they may see fit to submit to the Court for the purposes of this settlement and in reply to those submitted by the other Party.

Furthermore, in order to facilitate this settlement, the Court may be requested by either Party to delegate one or three of its members for the purposes of conducting investigations on the spot and of hearing the evidence of any interested persons."

On the occasion of the signature of the Special Agreement, on October 30th, 1924, the French Minister for Foreign Affairs and the Swiss Minister at Paris exchanged certain "interpretative notes", to the following effect :

"In signing the Arbitration Convention of this date, I have the honour to confirm that it is clearly understood between the Swiss Federal Council and the Government of the Republic that :

(1) until the Court's definitive decision shall have been given, neither Party shall take any steps calculated to modify the *de facto* situation now prevailing at the frontier between Switzerland and the French territories mentioned in Article 435, paragraph 2, of the Treaty of Versailles ;

(2) no objection shall be raised on either side to the communication by the Court to the Agents of the two Parties, unofficially and in each other's presence, of any indications which may appear desirable as to the result of the deliberation upon the question formulated in Article 1, paragraph 1, of the Arbitration Convention ;

(3) the words 'present conditions' in Article 2, paragraph 1, of the Arbitration Convention refer to the 'present conditions' contemplated in Article 435, paragraph 2, with its Annexes, of the Treaty of Versailles."

The Special Agreement was communicated on or before April 5th, 1928, to all concerned, as provided in Article 40

of the Statute and in Article 36 of the Rules of Court; similarly, it was communicated to all States, Members of the League of Nations, and to all other States entitled to appear before the Court.

On the other hand, States Parties to the Treaty of Versailles were not specially notified under Article 63 of the Statute, which was considered as inapplicable in this case; but their attention was drawn to the right which they no doubt possessed to inform the Court, should they wish to intervene in accordance with the said Article, in which case it would rest with the Court to decide.

In an Order, dated May 5th, 1928, the President of the Court—the Court itself not being then in session—fixed the “dates for the completion of the various acts of the written procedure in the case”, as provided for in Article 3 of the Special Agreement; the time-limits assigned were in conformity with the proposals on that subject in the said Article.

The Parties filed their Cases, Counter-Cases and Replies within the periods thus appointed.

By the terms of Article 3 of the Special Agreement, the Replies were to set forth the “final conclusions” of the Parties; consequently, the Court did not avail itself of its right (under Art. 48 of its Statute) to decide the form and time in which the Parties should conclude their arguments. The submissions of the French Reply were formulated as follows:

“May it please the Court:

In accordance with the letters attached to the Special Agreement, communicate to the Agents for the two Parties, unofficially and in each other's presence, any indications which may appear desirable as to the result of its deliberation upon the question formulated in Article 1, paragraph 2, of the Special Agreement;

Determine the import of its deliberation and, in the circumstances contemplated by Article 2 of the Special Agreement, so formulate the operative part of its judgment that its effect shall be to decide that, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated the provisions of the Protocol of the Conferences of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of

March 16th, 1816, and of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the District of Gex ;

As soon as it has concluded its deliberation on this question and before pronouncing any decision, accord to the two Parties a reasonable time to settle between themselves the new régime to be applied in those districts under such conditions as they may consider expedient, as provided by Article 435, paragraph 2, of the Treaty of Versailles, this time being capable of extension at the request of the two Parties."

The submissions of the Swiss Reply, on the other hand, were formulated as follows :

"It is submitted that :

1. As between Switzerland and France, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not abrogated the provisions of the Protocol of the Conferences of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, and of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the zones of Upper Savoy and the District of Gex.

2. As between Switzerland and France, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not for its object the abrogation of the provisions of the Protocol of the Conferences of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, or of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the District of Gex, *that is to say*, as between Switzerland and France, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, is not intended necessarily to lead to the abrogation of the aforesaid provisions, but simply means that Switzerland and France may abrogate them by mutual consent."

During public hearings held on July 9th, 10th, 11th, 12th, 13th, 15th, 16th, 18th, 19th, 22nd and 23rd, 1929, the Court heard arguments, replies and rejoinders, by M^e Paul-Boncour, Counsel of the French Government, and Professor Logoz, Agent of the Swiss Government ; it also heard a statement by Professor Basdevant, Agent of the French Government.

The submissions formulated in the written Replies were not modified during the oral proceedings.

During this phase of the procedure, the Parties communicated to the Court, in support of their respective submissions, the documents which—so far as they have been accepted by the Court—are given in the list in the annex; these were communicated partly (as laid down in Article 3 of the Special Agreement) as annexes to the written documents, and partly during the oral proceedings.

On August 19th, 1929, in order to conform to paragraph 2 of Article 1 of the Special Agreement, the Court made an Order in which it allowed the Government of the French Republic and the Government of the Swiss Confederation a period, expiring on May 1st, 1930, to settle between themselves the “new régime” to be applied in the territories referred to in Article 435, paragraph 2, of the Treaty of Versailles, under such conditions as they might consider expedient.

In the recitals of the said Order, the Court gave the Parties “any indications which may appear desirable as the result of the deliberation upon the question formulated in Article 1, paragraph 1,” of the Special Agreement, that is, the question “whether, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated or is intended to lead to the abrogation of the provisions” of 1815, 1816 and 1829, “regarding the customs and economic régime of the free zones of Upper Savoy and the District of Gex”.

The Court took this step, in the first place, because of the suggestion contained in the interpretative notes attached to the Special Agreement of October 30th, 1924, providing that the indications referred to above might be communicated unofficially by the Court to the Agents of the two Parties; and secondly, because it held that it was not possible for it, according to the terms and the spirit of its Statute, unofficially to communicate to the Parties in a case the result of the deliberation upon a question submitted to it for decision.

Before the expiration of the period fixed by the Order of August 19th, 1929, the Court received a letter from the Head of the Swiss Federal Political Department, dated March 28th, 1930, and a letter from the French Agent, dated April 29th, 1930, the

first informing it that it did not seem possible for a convention to be concluded and ratified by the Parties before May 1st, and the latter notifying it that it had proved impossible to conclude an agreement between the Government of the French Republic and the Swiss Federal Council concerning the settlement of the question of the free zones prior to the said date.

In these circumstances, on May 3rd, 1930, the President of the Court—the Court itself not being then in session—after hearing the Agents of the Parties, made an Order by which, in accordance with Articles 2, paragraph 1, and 4, paragraph 1, of the Special Agreement, he allowed the Government of the French Republic and the Government of the Swiss Confederation a period of time “for the production by the Parties of all documents, proposals and observations which they might see fit to submit to the Court for the purposes of the settlement by it of all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles”, and also a further period “to enable each Party to reply in writing to the documents, proposals and observations submitted by the other Party”.

Within the first of these periods, the French Government transmitted to the Court a document entitled “Observations and Proposal”, containing, *inter alia*, a “Draft Decision” in seventeen articles; no fresh submissions were, however, set forth in the said document. Similarly, the Swiss Government submitted a document entitled “Documents, Proposal and Observations”, containing, in addition to a “Draft Settlement of the régime of the territories referred to in Article 435, paragraph 2, of the Treaty of Versailles”, in thirteen articles and an annex, some new submissions worded as follows:

“May it please the Court,

By a single judgment rendered in conformity with Article 58 of the Court’s Statute;

1. To pronounce its decision on the question formulated in Article 1, paragraph 1, of the Special Agreement of October 30th, 1924, and to adjudge:

(a) that, as between Switzerland and France, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not abrogated the provisions of the Protocol of the

Conference of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, and of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the District of Gex ;

(b) that furthermore, as between Switzerland and France, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, is not intended necessarily to lead to the abrogation of the aforesaid provisions, in the sense that it does not compel Switzerland to accept, as the only possible basis for the future settlement, the abolition of the free zones.

2. To settle in accordance with the proposal submitted by the Swiss Government and having regard to the terms of the second paragraph of Article 2 of the Special Agreement of October 30th, 1924, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles."

Within the second period fixed by the Order of May 3rd, 1930, and expiring on September 30th, 1930, each of the Governments concerned filed a written Reply. These Replies contained no fresh submissions, but the Swiss Government reserved its right, if necessary, to file further submissions relating to an expert enquiry and to the despatch of a delegation of the Court to the spot, in accordance with paragraph 2 of Article 4 of the Special Agreement. In a letter dated October 11th, 1930, the Agent of the Swiss Government transmitted to the Court the following further submissions :

"*May it please the Court*, if the Court does not deem it possible to render *de plano* the judgment contemplated by Article 2 of the Special Agreement :

I. To declare the French Proposal incompatible with the rights of Switzerland and to disregard it.

II. To order an expert enquiry.

(1) To organize this enquiry on lines similar to those laid down in the Order made by the Court on September 13th, 1928, in the case of the Chorzów Factory.

(2) To put the following question to the experts :

"Taking it for granted that the French customs cordon will be placed on the line indicated in the Swiss Proposal, does that Proposal regulate the relations between Switzerland and the French regions concerned in a manner calculated to satisfy the legitimate interests of the inhabitants as those interests were before 1923?"

To the Observations and Replies of the two Governments were appended the documents enumerated in the list reproduced in the appendix.

The written proceedings provided for by Article 4, paragraph 1, of the Special Agreement having thus been concluded, the President fixed October 23rd, 1930, as the date for the opening of a new series of public hearings. At the same time he caused the Parties to be notified that, not having been able to secure the attendance at The Hague for these hearings of at least nine of the judges who had taken part in the examination of the zones' case in 1929, he had been compelled to reconstitute the Court in accordance with the principles of Article 25 of the Statute.

The impossibility of securing the said quorum had been apparent as early as August 1930; it exercised an effect in two different directions.

In the first place, the Swiss Government, by a letter from its Agent dated July 24th, 1930, had emphasized that, in its opinion, most useful information would be afforded the Court, for the purposes of the judgment which it had to give, if it were to delegate some of its members to conduct investigations on the spot, in accordance with Article 4, paragraph 2, of the Special Agreement, and if it ordered an expert enquiry regarding the solutions proposed by the Parties for the settlement of the zones' régime; the Swiss Government held that this investigation by a delegation on the spot and this expert enquiry should be carried out immediately after the filing of the "documents, proposals and observations" mentioned in the first paragraph of the same Article; in this connection, it suggested that it would be useful to give the Agents an opportunity of presenting to the Court their Governments' observations in regard to these proceedings. On being informed, on August 11th, that in order to hold the suggested hearing, the Court would in all probability have to be reconstituted for the whole of the

remainder of the case of the free zones, the Swiss Government informed the Court, by a letter from its Agent dated August 15th, 1930, that the Federal Council, in view of this new circumstance, felt that it should not maintain its request of July 24th, 1930, as it considered it inexpedient to raise the serious question of a possible reconstitution of the Court in connection with a mere detail of procedure.

In the second place, at the outset of the hearings fixed for October 23rd, 1930, the President had explained that, to comply with the provisions of Article 13, paragraph 3, of the Statute, the composition of the Court should have been the same as in 1929; circumstances, however, had rendered this impossible, the number of judges available of those who had taken part in the session of 1929 having fallen below the quorum required by Article 25 of the Statute in order to render the proceedings of the Court valid. Accordingly, it had become necessary to reconstitute the Court, in conformity with the principles of that Article, by summoning all the regular judges available and also—in the order laid down in the list kept for the purpose—the number of deputy-judges whose presence was necessary to make up the number of eleven laid down by the Statute. The President having asked the Agents whether they had any observations or statements to make in regard to this point, MM. Basdevant and Logoz made the following declarations which the President placed on record:

(M. Basdevant.)

“On behalf of the French Government, I declare that this Government agrees to the continuation of the proceedings in view of the fact that, according to its view, the solution of the question now to be argued is independent of the solution to be given to the question argued in the first phase of the proceedings.”

(M. Logoz.)

“The Swiss Government agrees to the proceedings being continued purely and simply as though the composition of the Court had not altered since the summer of 1929.

The Swiss Government for the rest maintains the view set forth in its Observations and in its Reply, more especially as regards the interdependence existing between the first judicial phase of the case and the present phase. It holds, moreover,

that the question argued in the first phase of the proceedings has been decided."

Accordingly, since the representatives of the Parties did not avail themselves of their right, in view of the reconstitution of the Court, to demand to reargue the whole case, the Court heard the observations presented by M^e Paul-Boncour, Counsel, and M. Basdevant, Agent for the French Government, and by M. Logoz, Agent for the Swiss Government, on October 23rd, 24th, 25th, 27th, 28th, 29th and 31st, and November 1st, 3rd and 4th, 1930. Finally, on November 24th, 1930, it heard the observations made at its request by MM. Basdevant and Logoz concerning the interpretation of Article 2, paragraph 2, of the Special Agreement, the consequences ensuing therefrom with regard to the further proceedings and the question whether, and if so under what conditions, the consent referred to in that clause "could be regarded as finally given, having been expressed in the proposals submitted by the French Government and by the Swiss Government".

The statements made on this subject by the French Government's Agent may be summed up in the two following passages :

".... it follows from the fact that the consent of the Parties is expressly reserved in respect of the customs questions referred to in paragraph 2 of Article 2 of the Special Agreement, that the Court in this matter does not possess the powers of an 'amiable compositeur' and that it is only in the position of a mediator. The question under what conditions the consent contemplated by this Article will be given by the French Government is one of French domestic policy and since, in customs matters, the Government can do nothing without the approval of the Chambers, it will rest with the Government, before giving its approval, to obtain authority to do so in accordance with the Constitution."

"The Government, in submitting the proposal in question [the proposal made in the French 'Observations'], has, in so far as it [i.e. the French Government] is concerned, given its consent once and for all; it will not go back upon it and it will strongly urge Parliament to give its approval. But the Government has not been able to commit Parliament; the Constitution does not allow it to do so."

On the other hand, according to the statements made by the Agent of the Swiss Government, the "draft decision" submitted to the Court by Switzerland

"implies the consent of Switzerland, within the meaning of Article 2, paragraph 2, of the Special Agreement—a consent henceforward and unconditionally binding upon her—to all the provisions contained therein, more especially as regards the importation of French goods free of duty or at reduced rates across the line of the Federal Customs".

Similarly,

".... should the Court see fit to insert in its judgment provisions regarding the importation of French goods free of duty or at reduced rates across the line of the Federal customs, other than the provisions proposed in the Swiss plan, Switzerland, in her capacity as a Party to the present proceedings, here and now gives her consent, i.e. she will accept this decision of the Court as binding upon her. This declaration also is henceforward and unconditionally binding on Switzerland.

And Switzerland's consent, in so far as concerns all the provisions of her proposal relating to the importation of goods free of duty across the line of the Federal Customs, and any other provisions on this subject which the Court may see fit to insert in its judgment, holds good even if the judgment does not uphold the Swiss contention with regard to the maintenance of the zones."

In the course of the oral proceedings, the closure of which was announced to the Parties by a communication from the Registry dated December 1st, 1930, the Parties' Agents produced the documents, a list of which is given in the appendix.

On December 6th, 1930, the Court made a new Order, whereby it

"(1) Accords to the Government of the French Republic and to the Government of the Swiss Confederation a period expiring on July 31st, 1931, which may be extended at the request of both Parties, to settle between themselves the matter of importations free of duty or at reduced rates across the Federal customs line and also any other point concerning the régime of the territories referred to in Article 435, paragraph 2, of the Treaty of Versailles with which they may see fit to deal ;

(2) Declares that at the expiration of the period granted or of any prolongation thereof, the Court will deliver judgment at the request of either Party, the President being empowered to grant the two Governments the necessary periods of time for the presentation beforehand of any written or oral observations."

In the recitals of this Order the Court made known its opinion on certain points of law other than those dealt with in the Order of August 19th, 1929.

In a letter of July 29th, 1931, the Swiss Minister at The Hague, his Government's Agent, with reference to this Order, informed the Court that the negotiations provided for therein had proved fruitless; accordingly the Swiss Government submitted that the conditions requisite for the continuation of the proceedings were fulfilled and held that it was for the Court to deliver judgment as provided in the Order. The Agent of the French Government, for his part, by a letter of July 30th, 1931, confirmed that the French Ambassador at Berne had received from the Federal Political Department a note whereby the latter terminated the negotiations which had been begun between the two Governments in pursuance of the Order of December 6th, 1930.

After hearing—in each other's presence and in that of the judge who had presided over the Court in December 1930—the submissions of the Parties' Agents with regard to the subsequent proceedings and the observations of each upon the submissions of the other, the President of the Court, on August 6th, 1931, made an Order whereby, in virtue of the powers conferred upon him by the operative clauses of the Order of December 6th, 1930, he allowed the Government of the Swiss Confederation and the Government of the French Republic a period expiring on September 30th, 1931, for the submission to the Court in writing of any further observations in regard to the case set out in the Special Agreement concluded between the two Governments on October 30th, 1924, and fixed for the month of October, the actual date to be decided later, a public hearing at which the representatives of each of the said Governments might reply to any written

observations filed as above stated on behalf of the other Government.

The following passage from the recitals of this Order should be noted :

".... according to decisions taken on November 22nd and December 4th, 1930, the Court, after deliberation, has recognized that the Court as then constituted must continue to deal with the case of the free zones and held that the judge who was then acting as President must continue to exercise his functions for the purpose of the said case".

The President eventually fixed October 14th, 1931, as the date for the beginning of the hearings to be devoted to the oral replies made by each Agent to the written observations filed by the other within the period of time allowed by the Order ; before the expiration of this time the French Government filed a volume entitled "Fresh Observations", accompanied by a volume of annexes containing "Documents relating to the negotiations prescribed by the Order of Court of December 6th, 1930". The Swiss Government, for its part, submitted a volume in which a short outline of the course of the said negotiations was given, by way of an introduction to documents of a similar kind. Neither the French "Fresh Observations" nor the Swiss Observations contain submissions, properly so-called. The Federal Council, in the document filed in its name, restricts itself to observing that the Court is called on to deliver judgment in accordance with its Order of December 6th, 1930 ; this judgment should, in the view of the Federal Council, be "executory" ; i.e. it should be capable of being put into force at once as regards the fixing of the French customs line. As regards the document filed on behalf of the French Government, it contains "Draft Regulations" in eleven articles which the Government of the Republic submits to the Court ; and it recapitulates, under the heading "Conclusion", the arguments which it has developed, and which may be summarized as follows :

Should the Court consider that it is unable to fulfil a part of its task, it should decline the whole of it. Should the Court consider that it can fulfil the whole of its task, the new régime to be introduced must be determined having regard to

present conditions. Should the Court hold that it must determine the new régime on the basis of existing law, it must decide whether the old treaties on which Switzerland claims to rely have created legal obligations between France and Switzerland and if so whether these legal obligations have not been abolished either by tacit abrogation or as the result of the change in conditions. Should the Court find it possible to fulfil the task conferred on it by the Special Agreement, the French Government requests it, in accordance with Article 4, paragraph 2, of the Special Agreement, "to delegate one or three of its members for the purposes of conducting investigations on the spot and of hearing the evidence of any interested persons". Finally, in the latter contingency, the French Government requests the Court to give the Parties an opportunity of stating their views on the desirability of an expert enquiry (this having been proposed by the Swiss Government in its alternative submissions of October 11th, 1930) and on the methods of conducting such an enquiry, whenever the Swiss Agent has informed the Court whether these submissions are maintained, withdrawn or modified.

The hearings, which had been provided for in the Order of August 6th, 1931, and had at first been fixed for October 14th, 1931, were subsequently, after the Agents had been duly heard, adjourned till April 1932, owing to the absence of a quorum—but without their character being in any way changed by this postponement. On April 19th, 20th, 21st, 22nd, 23rd, 26th, 27th, 28th and 29th, MM. Basdevant and Logoz made oral statements, replies and rejoinders before the Court and gave answers to certain questions which had been put to them. In opening the hearings the President pointed out that the oral proceedings which were about to begin were to possess the same character as the written Observations, as defined by the Order of August 6th, 1931. In the course of the hearings, or after their conclusion, the documents given in the list in the appendix were filed by one or other of the Agents.

These documents include, in particular, the following submissions which were put in by the Agent of the French Government at the end of his statement:

"May it please the Court :

I.—Should the Court decide that, by reason of its Statute, it is unable to fulfil the whole task entrusted to it by the Special Agreement in a manner corresponding to the intention of the Parties :

To declare that it cannot give the judgment contemplated by Article 2, paragraph 1, of the Special Arbitration Agreement, and that it is therefore for the Parties to take such steps as this decision may involve.

II.—Should the Court decide that it can, consistently with its Statute, fulfil the whole task entrusted to it by the Special Agreement in a manner corresponding to the intention of the Parties :

To decide by means of a single judgment the question set out in Article 1 of the Special Arbitration Agreement, and to settle for a period which it will fix all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles ;

And, for this purpose, to declare :

A.—*As to point I :*

(1) That Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has, as between France and Switzerland, abrogated the instruments enumerated in Article 1, paragraph 1, of the Special Agreement ;

(2) Alternatively that, in so far as Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not abrogated the said instruments, as between France and Switzerland, the Article was intended to lead to their abrogation, it being understood that abrogation as between France and Switzerland can be effected only by an instrument legally binding as between those two countries ;

B.—*As to point II :*

That the régime henceforth to govern the customs relations of the territories referred to in Article 435, paragraph 2, of the Treaty of Versailles, shall be that set forth in the draft settlement contained on pages 79 to 82 of the New French Observations ;

Alternatively, any régime based upon the juxtaposition and permeability of the two customs cordons that the Court may see fit to establish.

III.—Alternatively and in case the Court is of opinion that the status of the territories referred to in Article 435, paragraph 2, of the Treaty of Versailles should be established on the basis of the existing legal position:

To elucidate fully this legal position,

And to declare that the instruments mentioned in Article 1, paragraph 1, of the Special Agreement are not now legally binding as between France and Switzerland,

Either because Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated the said instruments;

Or, as regards the Gex zone, because Switzerland was not a Party, either as a signatory or by accession, to the international instruments which established that zone, it being particularly noted that Switzerland formally refused to accede thereto;

Or, as regards the Saint-Gingolph zone, because that zone was created by the unilateral Manifesto of September 9th, 1829, and not by the Treaty of March 16th, 1816;

Or, as regards the Sardinian zone, because Article 3 of the Treaty of March 16th, 1816, whereby that zone was created, was implicitly abrogated by subsequent instruments, notably the Treaty of June 8th, 1851;

Or, as regards all the zones, and to the extent Switzerland has hitherto been entitled to rely on the instruments whereby the zones were established, because, owing to changed conditions, resulting more particularly from the establishment of the Federal customs line at the Swiss frontier, the Court being entitled, for the purposes of this case, to judge of the effect of these changed conditions;

Or for any other reason which the Court may see fit to adopt;

Alternatively, that Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, was intended to lead to the abrogation of the instruments mentioned therein;

And that, consequently, the Court may disregard the said instruments as a basis for the régime which it is required to establish.

IV.—*Alternatively :*

By withdrawing the Swiss customs cordon so as to place it where it was in 1815, 1816 and 1829, to restore, not only the situation resulting for France and Sardinia from the withdrawal of the customs cordon of those two countries, but also the situation existing on the Swiss side at the time when each of the free zones was created."

In formulating these submissions, the Agent of the French Government reserved his right to present, if necessary, at the proper time, submissions as to the method of conducting the investigation on the spot which had been asked for by the French Government, and also submissions as to the question of an expert enquiry, when the Agent of the Swiss Government had explained the similar request presented by him.

The Agent of the Swiss Government, for his part, confined himself, in his oral statement, to requesting the Court to rule that the submissions presented by the French Government's Agent during the hearings were inadmissible; and alternatively, to reject the said submissions on their merits. For the rest, he declared that he maintained the submissions formerly presented on behalf of the Swiss Government, except that the further submissions of October 11th, 1930, should be regarded as having ceased to have any object "unless the Court were to decide that it could give judgment on the questions referred to in the second paragraph of Article 2 of the Special Agreement".

In his oral reply, the Agent of the French Government said that, although the Swiss Government had held that the delegation of members of the Court for the purpose of conducting an investigation on the spot had no longer any object, he maintained his request for the Court to conduct such an investigation in conformity with Article 4, paragraph 2, of the Special Agreement.

The Agent of the Swiss Government, for his part, declared in his oral rejoinder that he maintained "in every particular" the declarations which he had made before the Court on November 24th, 1930. He further declared that the only Swiss submissions were those presented on July 10th, 1930—which "still held good"—the sole addition being the submissions asking the Court to declare inadmissible or, alternatively, to reject the new French submissions presented during the course of the hearings.

During the successive phases of the procedure, both Parties have, independently of their submissions properly so-called, requested the Court to decide, in one sense or another, on a number of incidental points. In so far as these points fall within the ambit of the Special Agreement, the Court will take them up and deal with them below.

The proceedings having reached this stage, the Court now delivers judgment as follows.

* * *

The era of the Napoleonic wars preceding the Hundred Days was brought to an end by the treaties concluded at Paris on May 30th, 1814, between France, on the one hand, and Austria, Great Britain, Prussia and Russia respectively, on the other. Article 6 of these treaties, which all correspond, contains *inter alia* the following provision :

"Switzerland, independent, shall continue to govern herself¹."

Article 4 lays down that

"To secure the communications of the Town of Geneva with other parts of the Swiss Territory situated on the Lake, France consents that the road by Versoy shall be common to the two countries¹."

The treaties in question also provided in Article 32 that, within two months, all the Powers which had been engaged on one side or the other in the war which had just been brought to an end, should send plenipotentiaries to Vienna "for the purpose of regulating, in General Congress, the arrangements which are to complete the provisions of the present Treaty¹".

Articles 74 to 84 of the Act of the Congress of Vienna of June 9th, 1815, deal with the affairs of Switzerland. Under Article 75, the territory of Geneva is united to Switzerland and is to constitute a new canton. Under Article 79, France

"consents so to place the line of customs houses that the road which leads from Geneva into Switzerland by Versoy, shall at all times be free, and that neither the post nor travellers nor the transport of merchandize shall be interrupted by any examination of the officers of the customs nor subjected to any duty. It is equally understood that the passage of Swiss troops on this road shall not, in any manner, be obstructed²".

¹ Translation taken from *British and Foreign State Papers*, 1812-1814.

² Translation taken from *The Map of Europe by Treaty*, 1814-1875, Hertslet.

Finally, according to Article 84 of the Act of Vienna,

"the Declaration of March 20th, addressed by the Powers who signed the Treaty of Paris, to the Diet of the Swiss Confederation and accepted by the Diet, through the Act of Adhesion of May 27th, is confirmed in the whole of its tenor, and the principles established, as also the arrangements agreed upon, in the said Declaration, shall be invariably maintained¹".

In the preamble to the above-mentioned Declaration of March 20th, 1815, special reference is made to the Powers' desire to provide Switzerland, by restitutions and cessions of territory, with the means of preserving her independence and maintaining her neutrality; it is also stated therein that the Powers have obtained all information relative to the interests of the various cantons. The Declaration itself states that:

"As soon as the Helvetic Diet shall have duly and formally acceded to the stipulations contained in the present Instrument, an Act shall be prepared containing the acknowledgment and the guarantee, on the part of all the Powers, of the perpetual neutrality of Switzerland in her new frontiers; which Act shall form part of that which, in the execution of Article 32 of the Treaty of Paris of May 30th, was to complete the arrangements contained in that Treaty¹."

Article 5 of the "Instrument" (Transaction) referred to in the Declaration of March 20th, 1815, states that,

"in order to ensure the commercial and military communications of the Town of Geneva with the Canton of Vaud and the rest of Switzerland; and with a view to fulfil in that respect Article 4 of the Treaty of Paris, His Most Christian Majesty consents so to place the line of customs houses that the road which leads from Geneva into Switzerland by Versoy shall at all times be free and that neither the post, nor travellers, nor the transport of merchandize shall be interrupted by any examination of the officers of the customs, nor subjected to any duty¹".

The accession of the Diet of the Swiss Confederation, on behalf of the Confederation, to the "Declaration made on March 20th, 1815, by the Congress of Vienna", was effected by

¹ Translation taken from *The Map of Europe by Treaty, 1814-1875*, Hertslet.

an act of May 27th, 1815; in this act, the Diet expressed the hope that full effect would be given to the terms of the Declaration of March 20th and that the fulfilment of the engagements therein contained would be ensured.

This hope met with fulfilment when the Powers concluded the second series of treaties of Paris on November 20th, 1815, after the Hundred Days; for on the same day they made a Declaration, the relevant passage of which is as follows:

"The Accession of Switzerland to the Declaration published at Vienna on the 20th March, 1815, by the Powers who signed the Treaty of Paris, having been duly notified to the Ministers of the Imperial and Royal Courts, by the Act of the Helvetic Diet on the 27th of the month of May following, there remained nothing to prevent the Act of Acknowledgment and Guarantee of the perpetual Neutrality of Switzerland from being made conformably to the above-mentioned Declaration. But the Powers deemed it expedient to suspend till this day the signature of that Act, in consequence of the changes which the events of the war, and the arrangements which might result from it might possibly occasion in the limits of Switzerland, and in respect also to the modifications resulting therefrom, in the arrangements relative to the federated territory, for the benefit of the Helvetic Body.

These changes being fixed by the stipulations of the Treaty of Paris signed this day, the Powers who signed the Declaration of Vienna of the 20th March declare, by this present Act, their formal and authentic Acknowledgment of the perpetual Neutrality of Switzerland; and they Guarantee to that country the Integrity and Inviolability of its Territory in its new limits, such as they are fixed, as well by the Act of the Congress of Vienna as by the Treaty of Paris of this day, and such as they will be hereafter; conformably to the Arrangement of the Protocol of the 3rd November, extract of which is hereto annexed, which stipulates in favour of the Helvetic Body a new increase of Territory, to be taken from Savoy, in order to disengage from Enclaves, and complete the circle of the Canton of Geneva¹."

The extract from the Protocol of November 3rd, 1815—referred to in the Declaration of November 20th—which Protocol was relative to the territorial cessions to be made by France, contains *inter alia* the following:

¹ Translation taken from *The Map of Europe by Treaty, 1814-1875*, Hertslet.

"The French Government having consented to withdraw its lines of custom and excise from the frontiers of Switzerland, on the side of the Jura, the Cabinets of the Allied Powers will employ their good offices for inducing His Sardinian Majesty to withdraw in like manner, his lines of custom and excise, on the side of Savoy, at least upwards of a league from the Swiss frontiers, and on the outside of the great road of Saleve, and of the mountains of Sion and Vuache¹."

An extract from the said Protocol, containing the passage quoted above, was officially communicated on November 7th to the Swiss plenipotentiary by the plenipotentiaries of the Cabinets of the Courts of Austria, Russia, Great Britain and Prussia.

According to Article 1 of the treaties concluded on November 20th, 1815, between France, on the one hand, and Austria, Great Britain, Prussia and Russia, respectively, on the other :

"The Frontiers of France shall be the same as they were in the year 1790, save and except the modifications on one side and on the other, which are detailed in the present Article.

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3. In order to establish a direct communication between the Canton of Geneva and Switzerland, that part of the pays de Gex, bounded on the east by the Lake Leman; on the south, by the territory of the Canton of Geneva; on the north, by that of the Canton of Vaud; on the west, by the course of the Versoix, and by a line which comprehends the Communes of Collex-Bossy, and Meyrin, leaving the Commune of Ferney to France, shall be ceded to the Helvetic Confederacy, in order to be united to the Canton of Geneva. The line of the French Customs-houses shall be placed to the west of the Jura, so that the whole of the Pays de Gex shall be without that line¹."

The territory comprised between the Franco-Swiss political frontier and the line of the French customs withdrawn from that frontier—as provided in the diplomatic instruments quoted above—constitutes the free zone of the District of Gex

¹ Translation taken from *The Map of Europe by Treaty, 1814-1875*, Hertslet.

mentioned in Article 1 of the Special Agreement and in Article 435, paragraph 2, of the Treaty of Versailles.

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The free zone of Upper Savoy, known as the "Sardinian zone", also, in the last analysis, derives its origin from the arrangements relative to Geneva made following upon the Napoleonic wars.

The above quoted Article 5 of the "Transaction" appended to the Declaration of the Powers concerning Switzerland of March 20th, 1815, contains the following clause:

"The Contracting Powers shall, moreover, interpose their good offices for the purpose of obtaining for the Town of Geneva a suitable accession of territory on the side of Savoy¹."

With reference to this clause, the Sardinian Government, in a letter of March 26th, 1815, addressed to the Powers, stated that it consented to the cessions of territory contemplated, subject to certain conditions which were specified and which the Powers approved by a Declaration on March 29th, 1815. Accordingly, provisions confirming these cessions and conditions were inserted in Articles 91 and 92 of the Act of the Congress of Vienna of June 9th, 1815. The Diet of the Swiss Confederation, for its part, by an "act of adhesion to the acts of the Congress of March 29th, 1815", dated August 12th of the same year, accepted the said conditions. The above-mentioned Protocol of November 3rd, 1815, confirmed, in its fifth Article, the position resulting from the various instruments referred to, save that it envisaged certain territorial exchanges between Sardinia and the Canton of Geneva and declared that the Cabinets of the Allied Courts would use their good offices to induce His Sardinian Majesty to withdraw his customs line on the side of Savoy at least one league from the Swiss frontier. By their Declaration of November 20th, 1815, the Powers which had signed the Declaration of March 20th formally guaranteed to Switzerland the integrity and inviolability of her territory within her new boundaries,

¹ Translation taken [from *The Map of Europe by Treaty, 1814-1875*, Hertslet.

including those subsequently to be fixed, in accordance with the clause in the Protocol of November 3rd, "which stipulates in favour of the Helvetic Body a new increase of Territory to be taken from Savoy, in order to disengage from Enclaves, and complete the circle of the Canton of Geneva¹".

The determination of the frontier between Switzerland and Sardinia was left to a direct agreement between those two States.

The latter, on March 16th, 1816, at Turin, concluded a "treaty respecting territorial cession and boundaries" in which they expressly referred to the various instruments above mentioned. Article 1 of this treaty fixes the political frontier between the two neighbouring countries, and Article 3 fixes the line of the Sardinian customs in Sardinian territory. The latter Article runs as follows :

"According to the purport of the Protocol of the 3rd of November, respecting Custom-Houses (reconciling at the same time its dispositions, as much as possible, with the interests of His Majesty) the Line of Custom-Houses in the neighbourhood of Geneva and the Lake, shall proceed from the Rhone by Cologny, Valeiry, Cheney, Luiset, Chable, Sapey, Vieson, Etrembières, Annemasse, Ville-la-Grand, along the course of the Foron to Machilly, thence by Douvaine and Colongette as far as the Lake, and along the Lake to Meillerie, afterwards resuming and continuing the present frontier at the post nearest to Saint-Gingolph; it being understood that His Majesty shall be at liberty to make such alterations and dispositions relative to the numbers and situations of his Custom-Houses within the said line as he may deem most convenient. No Custom-House duty can be performed either on the Lake or within the space (*zone*) which separates the territory of the Canton of Geneva from the line above described; it shall, nevertheless, be at all times lawful for His Majesty's administrative authorities, to take such measures as they may deem necessary to prevent any illegal traffic, resulting from dépôts or the stationing of merchandise, within the said space (*zone*). The Government of Geneva desiring, on its part, to second the views of His Majesty in this respect, will take the necessary precautions to prevent smuggling from being encouraged by the inhabitants of the Canton¹."

¹ Translation taken from *The Map of Europe by Treaty*, 1814-1875, Hertzslet.

The "Sardinian zone" is that comprised between the section of the line described in this Article, from the Rhone to the Lake, and the political frontier.

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As appears from Article 1 of the Treaty of Turin of March 16th, 1816 ("it being understood that the property of one half the breadth of the lake from Hermance to Vézenaz is acquired by the Canton of Geneva¹"), the political frontier between Switzerland and Sardinia followed the middle of the lake. On the other hand, under Article 3 of the same Treaty, the line of the Sardinian customs went "along the Lake" between Colongette and Meillerie. The zone comprised between the part of the shore between these two places and the middle line of the lake constitutes the so-called "Lake zone".

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The same Article 3 of the Treaty of Turin states that the line of the Sardinian customs shall proceed "along the Lake to Meillerie, afterwards resuming and continuing the present frontier at the post nearest to St. Gingolph¹".

On this subject, a "Manifesto" was issued on September 9th, 1829, by the Royal Sardinian Court of Accounts. The first two paragraphs of the preamble and Article 1 and the first paragraph of Article 2 run as follows:

"The Canton of Valais, invoking the terms of Article 3 of the Treaty concluded with the Swiss Confederation and the Canton of Geneva on March 16th, 1816, has requested the abolition of the customs office at present established in the village of St. Gingolph and the withdrawal of the customs line from this frontier, so that a new zone shall be formed in this locality comprising the territory of the said commune.

Although this request, according to the report made to His Majesty, has appeared not to be altogether well-founded in law and only to be based on an ambiguous

¹ Translation taken from *The Map of Europe by Treaty*, 1814-1875, Hertslet.

expression, nevertheless, in order to give satisfaction to the Canton of Valais, as a token of his good will, His Majesty has been good enough to consent to its being granted.

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Article 1.—The Customs office in the village of St. Gingolph shall be and remain abolished and shall be established in the village of Locum.

Article 2.—Henceforward, the line of the customs towards the above-mentioned part of the frontier of Valais shall start from the Lake, at the point where the main Evian road is intersected by the 'red bridge' beside the village of Locum; it shall proceed up the bed of the same stream of Locum and shall follow it *via* the peak of La Frasse and the mountain of Mémise as far as its source at the foot of the chain of rocks which serve as boundaries between the communes of Novel, Bernes, and Tolon; from this point it shall follow the mountain chain passing near Trépertuet, and rejoin the foot of the Dent d'Oche; thence it shall continue along the crest of the mountains which join the Dent de Villand beside the summit of La Cornette."

Thus is defined the zone known as the "zone of Saint-Gingolph".

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On March 24th, 1860, France and Sardinia signed at Turin the Treaty "concerning the annexation of Savoy and the arrondissement of Nice to France". According to the terms of this instrument, Sardinia consents to this annexation on the understanding that it is to be effected without any constraint of the wishes of the populations and that Sardinia cannot transfer the neutralized parts of Savoy—which included the zones defined above, apart from the zone of Gex—except on the conditions upon which she herself possesses them. Accordingly, a plebiscite was organized in the territories concerned; it was taken on April 22nd and 23rd, 1860, and its result was the proclamation of the annexation to France of Savoy and Nice by the *Senatus-Consultum* of June 12th, 1860. In view of the special conditions in which the plebiscite was taken—

in one part of the territory, the inhabitants were permitted to vote *yes*, *yes and zone*, or *no*, and the very great majority voted *yes and zone*—the French customs were withdrawn, by an imperial decree of the same day, to a new line within French territory: thus, by a sovereign and unilateral decision on the part of France, was created the “Great zone” or “Annexation zone”, which included the small Sardinian zone and the zone of Saint-Gingolph. The zone was abolished by the French law of February 16th, 1923, which came into force on November 10th of the same year. However that may be, the present dispute does not concern the “Great zone” of 1860.

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Ever since their creation, those free zones, which the Court has to deal with, possessed a unilateral character, that is to say that the withdrawal of the French and Sardinian Customs lines to a position in rear of the political frontier was prescribed, without any similar or countervailing obligation being imposed upon Switzerland. This legal situation was not, however, productive of a *de facto* inequality, owing to the Customs system in force for Geneva. This system, as instituted by the Federal and Cantonal laws of 1815 and 1816, was extremely simple in its application and only provided for very low tariffs; both the Cantonal and Federal duties were levied by the cantonal offices.

This system was, however, altered as a result of the consolidation of the Federal Customs and of the abolition of the Cantonal Customs, which were effected in 1849 and developed during the succeeding years (Federal Law on Tolls of June 30th, 1849; Federal Law of August 27th, 1851); these changes affected both the method of collecting the duties (which were henceforward to be levied solely at the frontier of the Confederation and not at the cantonal frontiers) and the rates of the duties.

Though the alteration in the Federal Customs system was not, at the time, regarded on either hand as seriously affecting the value of the régime of the free zones—this is evidenced by the creation of the Great zone (of Annexation) in

virtue of a unilateral decision by the French Government in 1860—it nevertheless made it necessary or desirable to effect certain adjustments by way of treaty.

Accordingly, in the Commercial Treaty concluded on June 8th, 1851, between Sardinia and Switzerland, the latter undertakes (Art. 4) to allow the importation free of duty from the Sardinian States of a certain number of specified articles, and to concede certain other benefits “in consideration of the exemption from export duties of foodstuffs and consumable goods intended to supply the City and Canton of Geneva”. Again, in particular, by the Regulation concerning the District of Gex, which was annexed to the Treaty of Commerce concluded on June 30th, 1864, between France and Switzerland, the Government of the Confederation undertook to grant certain facilities to the products of the District of Gex in addition to the customs concessions specified in the tariff annexed to the Treaty. This Regulation was followed by various agreements concerning questions of detail, and in particular by a Convention, dated June 14th, 1881, concerning a customs régime between the Canton of Geneva and the free zone of Upper Savoy (i.e., the Great zone of Annexation) and a Treaty of Commerce, dated the following day, to which was attached a Regulation concerning the District of Gex. Even after the expiry of the latter Treaty, on January 1st, 1893 (and except for a period of customs difficulties between France and Switzerland, which lasted into the year 1895), the said Regulation was in fact applied until it was replaced by another regulation of the same kind annexed to the Commercial Convention of October 20th, 1906.

It should be observed that the contractual régime for the Sardinian zone (which régime was instituted by the Agreement of June 14th, 1881, for a period of thirty years, renewable by tacit consent) was distinct from that which governed the relations between Switzerland and the Gex zone; the latter régime shared the fate of the successive commercial treaties, to which the relevant regulations were attached. In 1913, however, the Convention of 1881 became subject to denunciation, in the same way as the commercial treaties, at one year's notice.

Availing itself of this possibility, and having regard in particular to the change effected in the situation of the free zones owing to the establishment of a French police and fiscal cordon at the political frontier during the war, the French Government, on September 20th, 1918, denounced the Commercial Convention of October 20th, 1906 (including the Regulation concerning the Gex zone), and on December 18th, 1918, it further denounced the Convention of June 14th, 1881, concerning the customs régime between the Canton of Geneva and the free zone of Upper Savoy.

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The denunciation of the agreements concerning the free zones was to become effective as from January 1st, 1920.

As early as January 14th, 1919, the Swiss Government, in its reply to the French note of December 18th, 1918, denouncing the Convention of 1881, had stated that it was ready to examine "any proposals which the French Government might see fit to submit to it concerning the economic relations between Switzerland and Upper Savoy".

This suggestion was followed, first, by an informal discussion, and subsequently, by an exchange of notes with a view to the inauguration of official negotiations. The opening of the latter was delayed owing to an examination of the question having been undertaken in France, where it was regarded as connected with the substitution, "for the régime of the free zones, of a régime consistent with modern ideas and requirements, adapted to the respective geographical situations of the regions concerned, and based on conditions of fairness and reciprocity". On April 26th, 1919, the French Embassy at Berne communicated to the Federal Political Department

"a draft convention for good neighbourly relations, designed to serve as a basis for the discussions about to take place between the French and Swiss representatives appointed to draw up a special contractual régime which shall be applicable to the French districts in the Departments of Ain and Upper Savoy at present outside the French customs-line, and to the adjacent Swiss cantons".

The covering note, forwarding this draft, contained *inter alia* the following passages :

"The Government of the Republic is convinced that the régime thus established on a basis of fairness and reciprocity, and adapted to the special geographical conditions which exist, will replace with advantage the obsolete régime of the free zones, and will materially conduce to develop friendly relations between the two countries, more particularly as regards relations between the districts specially concerned.

In this connection, the French Government desires to inform the Federal Government that it is essential, in its view, to take advantage of the assembly of the delegates of the Powers at Paris to place on record in the Treaty of Peace with Germany that the servitudes imposed on France in 1815, as regards the neutralized zone and also as regards the free zones of Savoy and the District of Gex, have now lapsed.

The French Government is very desirous of receiving an assurance at the earliest possible moment that the Swiss Government appreciates the entirely friendly character of this communication, and is at one with the French Government in recognizing that the historic relations, whose cordial character has been formally reaffirmed during the late war, between the neighbouring countries, will not fail to gain by the disappearance of obsolete clauses, which will be advantageously replaced by a contractual régime, freely negotiated, more elastic, and better suited to modern requirements."

The French note of April 26th, 1919, was followed on the 28th of the same month by a second note which elaborated the ideas put forward in the first. Thus, this note observes that :

"It will be desirable to insert in the Treaty of Peace with Germany, as successor of Prussia who signed the treaties of 1815, the abrogation of the clauses relating to the free zones, and the French Government is specially anxious to obtain the assent of Switzerland in advance",

and that :

"The French Government is convinced that its future relations with the Federal Government will greatly benefit by the fact that Switzerland will have spontaneously borne witness to the lapse of provisions which had become an impediment to the normal development of political and economic relations between the two countries."

On the next day, April 29th, 1919, the French Minister for Foreign Affairs communicated to the President of the Swiss Confederation, who was then at Paris, "the text of the draft article which the French Government proposes to insert in the Peace Treaty". In the covering letter, forwarding this text, M. Pichon wrote as follows:

"It goes without saying that, although the Government of the Republic wishes to avail itself of the opportunity which now offers itself to put an end to the character given in 1815 to an economic system little suited to control by Powers not directly involved in that system, the French Government nevertheless does not intend to avail itself, as against Switzerland, of the abrogation in question, until the negotiations for the convention which is to replace the said régime have resulted in an agreement between France and the Confederation."

The Swiss reply to the three above-mentioned communications took the form of a note which was sent on May 2nd, 1919, by the Federal Political Department to the French Embassy at Berne. On the question of the free zones, it observes:

"2. The Federal Council will not fail to examine in the most friendly spirit the above-mentioned request of France concerning the free zones of Upper Savoy and the District of Gex, but it is indispensable that, before pronouncing an opinion, it should have the necessary time for making a study of the proposals of the French Commission and for consulting the Swiss districts more specially concerned."

For these reasons the Federal Council thinks it highly desirable that the French Government should refrain from referring to the free zones in the Treaty of Peace."

On May 4th, following, the Government of the French Republic communicated to the Swiss authorities a new draft of the article to be inserted in the Treaty of Peace, reading as follows:

"The High Contracting Parties, while they recognize the guarantees stipulated by the treaties of 1815, and especially by the Act of November 20th, 1815, in favour of Switzerland, the said guarantees constituting international obligations for the maintenance of peace, declare nevertheless that the provisions of these treaties, conventions, declarations and other supplementary acts concerning the neutralized zone of

Savoy, as laid down in paragraph 1 of Article 92 of the Final Act of the Congress of Vienna and in paragraph 2 of Article 3 of the Treaty of Paris of November 20th, 1815, are no longer consistent with present conditions.

For this reason, the High Contracting Parties take note of the agreement reached between the French Government and the Swiss Government for the abrogation of the stipulations relating to this zone which are and remain abrogated.

The High Contracting Parties also agree that the stipulations of the treaties of 1815 and of the other supplementary acts concerning the free zones of Upper Savoy and the Gex District are no longer consistent with present conditions, and that it is for France and Switzerland to come to an agreement together with a view to settling between themselves the status of these territories under such conditions as shall be considered suitable by both countries."

In a note, dated May 5th, 1919, which was delivered simultaneously by the Swiss Legation at Paris to the French Ministry for Foreign Affairs and by the Political Department to the French Embassy at Berne, the Federal Council stated that, after examining the new French proposal, i.e. the new draft article, it "has happily reached the conclusion that it was possible to acquiesce in it, under the following conditions and reservations" as regards the free zone of Upper Savoy and the District of Gex :

"a. The Federal Council makes the most express reservations to the interpretation to be given to the statement mentioned in the last paragraph of the above Article for insertion in the Treaty of Peace, which provides that the 'stipulations of the treaties of 1815 and other supplementary acts concerning the free zones of Haute-Savoie and the Gex District are no longer consistent with present conditions'.

The Federal Council would not wish that its acceptance of the above wording should lead to the conclusion that it would agree to the suppression of a system intended to give neighbouring territory the benefit of a special régime which is appropriate to the geographical and economical situation and which has been well tested.

In the opinion of the Federal Council, the question is not the modification of the customs system of the zones as set up by the treaties mentioned above, but only the regulation in a manner more appropriate to the economic conditions of the present day of the terms of the exchange of goods between the regions in question.

The Federal Council has been led to make the preceding observations by the perusal of the draft Convention concerning the future constitution of the zones which was annexed to the note of April 26th from the French Government.

While making the above reservations, the Federal Council declares its readiness to examine in the most friendly spirit any proposals which the French Government may deem it convenient to make on the subject.

b. It is conceded that the stipulations of the treaties of 1815 and other supplementary acts relative to the free zones will remain in force until a new arrangement is come to between France and Switzerland to regulate matters in this territory."

The text of the aforementioned Article was inserted without modification—but with the text of the Swiss note of May 5th, 1919, annexed to it—in the Peace Conditions of the Allied and Associated Powers transmitted on May 7th to the German delegation at Versailles.

On May 18th, 1919, the French Ministry for Foreign Affairs communicated to the Swiss Legation in Paris a note in the following terms:

"In a note dated May 5th, the Swiss Legation in Paris was good enough to inform the Government of the French Republic that the Federal Government adhered to the proposed article to be inserted in the Treaty of Peace between the Allied and Associated Governments and Germany.

The French Government have taken note with much pleasure of the agreement thus reached, and, at their request, the proposed article, which had been accepted by the Allied and Associated Governments, has been inserted under No. 435 in the Peace Conditions presented to the German plenipotentiaries.

The Swiss Government, in their note of May 5th on this subject, have expressed various views and reservations.

Concerning the observations relating to the free zones of Haute-Savoie and the Gex District, the French Government have the honour to observe that the provisions of the last paragraph of Article 435 are so clear that their purport cannot be misapprehended, especially where it implies that no other Power but France and Switzerland will in future be interested in that question.

The French Government, on their part, are anxious to protect the interests of the French territories concerned, and, with that object, having their special situation in view, they bear in mind the desirability of assuring them a suitable customs régime, and determining, in a manner better suited to present conditions, the methods of exchanges between these territories and the adjacent Swiss territories, while taking into account the reciprocal interests of both regions.

It is understood that this must in no way prejudice the right of France to adjust her customs line in this region in conformity with her political frontier, as is done on the other portions of her territorial boundaries, and as was done by Switzerland long ago on her own boundaries in this region.

The French Government are pleased to note on this subject in what a friendly disposition the Swiss Government take this opportunity of declaring their willingness to consider any French proposal dealing with the system to be substituted for the present régime of the said free zones, which the French Government intend to formulate in the same friendly spirit.

Moreover, the French Government have no doubt that the provisional maintenance of the régime of 1815 as to the free zones referred to in the above-mentioned paragraph of the note from the Swiss Legation of May 5th, whose object is to provide for the passage from the present régime to the conventional régime, will cause no delay whatsoever in the establishment of the new situation which has been found necessary by the two Governments. This remark applies also to the ratification by the Federal Chambers, dealt with in paragraph 1 (a) of the Swiss note of May 5th, under the heading 'Neutralized zone of Haute-Savoie'."

This note was subsequently inserted in the Treaty of Peace signed at Versailles on June 28th, 1919, immediately after the text of the Swiss note of May 5th, 1919, and like the latter, as an annex to Article 435 of the Treaty.

On May 29th, the Swiss Government replied to the French note of May 18th, 1919. This reply stated, *inter alia*:

"Since there was in fact no time for an exchange of views on the interpretation to be given to the article proposed by the French Government, the Federal Council, out of deference to the latter and in a desire to meet its wishes, by its subsequent note of May 5th, acquiesced, subject to the most express reservations, in the text proposed by the French Government.

The Federal Council adheres in full to its reservations which have furthermore been inserted in the Acts of the Conference. This viewpoint is all the more well-founded since the text proposed by the French Government was inserted in the Peace Treaty solely with a view to securing the disinterestedness of the Signatory Powers. This text cannot therefore prejudice the basic question, viz., the contents of the convention to be negotiated between the Swiss and French Governments.

The Federal Council feels that it should specifically state that the article inserted in the Peace Treaty in no way invests the stipulations of the treaties of 1815 and other supplementary acts concerning the free zones with a provisional character; these stipulations remain in force as they stand and can neither be modified nor replaced except by a joint agreement between Switzerland and France."

In the same note, the Swiss Government alluded to the negotiations concerning the settlement of the future régime of the zones which had been envisaged since the beginning of the year and intimated that it was continuing the necessary investigations for this purpose, and notably its examination of the French draft of April 1919.

In its reply sent by the French Ambassador at Berne on June 14th, 1919, the French Government expressed a wish that Swiss negotiators should be appointed as early as possible "with a view to the conclusion of an agreement meeting the wish of both countries to consolidate their friendly relations and taking account of the respective interests of their peoples".

By a note dated July 1st, 1919, the Federal Political Department drew the attention of the French Embassy "to the fact that the Federal Council found it difficult to reconcile the draft convention submitted to it on April 29th, 1919, with the reservations, which it expressly formulated in its note of May 5th, concerning any modification of the existing régime which involved the establishment of the French customs at the political frontier of the two countries".

The note added that the Federal Council was still "animated with the strongest desire to conclude, as soon as possible, an arrangement acceptable to both countries and of such a nature as to facilitate trade relations between the free zones and Switzerland".

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The matter rested there until October 1st, 1919, when the Swiss Government communicated to the French Embassy the names of the Swiss delegates who, with the French representatives, were to negotiate the future régime of the free zones of Upper Savoy and the District of Gex, and announced that the Embassy would shortly receive a draft convention for good neighbourly relations prepared by the Swiss authorities.

This communication was in fact the starting point of long and difficult negotiations, pursued both through ordinary diplomatic channels and through conversations between delegations appointed for the purpose, and culminating on August 7th, 1921, in the signature of a Convention "for the settlement of commercial and neighbourly relations between the former free zones of Upper Savoy and the District of Gex and the adjacent Swiss cantons". As its title suggests, this Convention was based on the abolition, with adequate compensation, of the said zones, i.e., on the transfer of the French customs cordon to the political frontier.

The Convention was approved by the Parliaments of both countries. In consequence, however, of a demand to that effect, made in accordance with the Constitution of the Swiss Confederation, the Convention had to be submitted to a popular vote; this vote, which took place on February 18th, 1923, having proved adverse, the Swiss Legation at Paris, on March 19th, 1923, informed the French Government that the Federal Government was unable to ratify the Convention.

During the negotiations which preceded the conclusion of the Convention of August 7th, 1921 (note from the French Ministry for Foreign Affairs dated December 25th, 1919), it had been arranged that the agreements concerning the régime of the free zones which were due to expire on January 1st, 1920, should remain provisionally in force, and that this temporary régime could not be terminated without at least a month's notice.

On the other hand, during the same negotiations, the French Government had informed the Swiss Government, in a note

dated March 26th, 1921, from the French Embassy at Berne that it felt bound henceforward to envisage the establishment of the French customs cordon at the frontier and to introduce a bill authorizing it to take this step; the law in question would, however, not be enforced until the expiration of the required time for notice mentioned above.

This law was passed on February 16th, 1923; Article 1 reads :

"Along the entire frontier, between France and Switzerland, the national customs line shall be established at the limit of the territory of the Republic.

Consequently, and subject to the provisions of the articles hereafter, the so-called 'free zones' regions shall, in all respects and especially in respect of indirect taxes, henceforth be placed under the same régime as the whole of French territory."

Certain attempts to re-open negotiations had been made on either hand, in view of the results of the Swiss referendum of February 18th, 1923; as they had led to no result, the French Ministry for Foreign Affairs forwarded a note, dated October 10th of that year, to the Swiss Minister at Paris denouncing the provisional régime in force for the free zones as from November 10th following, in accordance with the note of December 25th, 1919, and notifying Switzerland that the law of February 16th, 1923, introducing the new customs status of the free zones of the District of Gex and Upper Savoy, would also become applicable on November 10th, 1923.

The Swiss Government replied on October 17th, 1923, protesting against the French Government's decision. The note which the Swiss Minister at Paris wrote on this subject to the French Government contained *inter alia* the following statement :

"The Federal Government is compelled, to its great regret, to consider that all possibility of direct negotiations is excluded, for the time being. Such negotiations would only again become possible if the French Government should declare that the application of the law of February 16th, 1923, will remain definitely suspended throughout the negotiations. As it is, the Swiss Government sees no other regular way out of the dispute except by arbitration. It considers that the disputed

points should be submitted to the Permanent Court of International Justice at The Hague, and it requests the Government of the Republic to be good enough to agree to that procedure. Should the last-named Government prefer some other arbitral tribunal, it would be easy to agree on that point. The substantial points at issue might be formulated as follows :

1° Are the rights which the Swiss Confederation has hitherto derived from the treaties of 1815 and 1816 still in force?

2° Can Article 435, last paragraph, of the Treaty of Versailles be invoked against the Confederation, except within the meaning and the limits laid down by the Federal Council in its note of May 5th, 1919?"

A diplomatic correspondence ensued, in the course of which, *inter alia*, the Swiss proposal that the application of the French law of February 16th, 1923, should be suspended throughout the further negotiations, was rejected. On the other hand, on January 22nd, 1924, the French Minister for Foreign Affairs sent the Swiss Minister at Paris a draft Special Arbitral Agreement imparting the following duties to a tribunal of three arbitrators, which would have power to act as *amiable compositeur* :

"To determine whether the Convention concluded between the Government of the Republic and the Federal Government on August 7th, 1921, gave the latter the advantages it was entitled to expect ;

To determine whether the aforesaid Convention provides the districts concerned in France and Switzerland with a customs régime regulating the conduct of trade between the said districts in a manner consistent with present economic conditions."

In his reply, dated February 14th, 1924, the Swiss Minister referred to the suggestion for international judicial proceedings which he had put forward in his note of October 17th, 1923, and indicated the difference between that suggestion and the French draft Special Agreement in the following terms :

"... the draft Special Agreement of the French Government is based, not on the idea of a legal arbitration bearing on the difference of interpretation which constitutes the crux of the dispute, but on the totally distinct idea of appointing three persons, whose chief task would be to determine, as *compositeurs amiables*, whether the Convention of August 7th, 1921,

which the Swiss people have rejected, gave the Confederation the advantages which it was entitled to expect".

Not being able to entertain the ideas advanced by the French Government, the Federal Council sent the French Government an alternative draft Special Agreement, providing for a "legal arbitration" to be undertaken by the Permanent Court of International Justice. By the terms of this alternative draft, the Court would have had to pronounce on the following questions :

"Are the provisions of the Treaty of Paris of November 20th, 1815, of the Protocol of the Conference of Paris of November 3rd, 1815, and of the Treaty of Turin of March 16th, 1816, regarding the customs régime of the free zones of Upper Savoy and the District of Gex still in force, or has Article 435 of the Treaty of Versailles, in the conditions under which the Swiss Federal Council acquiesced therein, had the effect of abrogating the said provisions ?

If it is held that the said provisions are still in force, the Permanent Court of International Justice will be requested to pronounce on the second question, as follows :

Can France, by a unilateral act, abolish the régime of the free zones of Upper Savoy and the District of Gex on the ground that, in the case in point, the act is one which falls exclusively within its domestic jurisdiction ?"

Following on this exchange of proposals, it was agreed in March 1924, on the proposal of the French Government, to instruct two jurists, French and Swiss, to prepare a draft Special Agreement, which would then be submitted by them for approval to their respective Governments.

The jurists appointed by the two Parties, in pursuance of this agreement, drew up the Special Arbitration Agreement which was signed at Paris on October 30th, 1924, by the French Minister for Foreign Affairs and the Swiss Minister at Paris, and which came into force on March 21st, 1928, as stated above.

* * *

According to Article 2, paragraph 1, of the Special Agreement, the Court shall, "by means of a single judgment rendered in accordance with Article 58 of the Court's Statute,

pronounce its decision in regard to the question formulated in Article 1 and settle for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles”.

The question which the Court must first pass upon is, according to Article 1, paragraph 1, of the Special Agreement, “whether, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated or is intended to lead to the abrogation of the provisions of the Protocol of the Conference of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, and of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the Pays de Gex, having regard to all facts anterior to the Treaty of Versailles, such as the establishment of the Federal Customs in 1849, which are considered relevant by the Court”.

The expression “as between France and Switzerland” has the effect of limiting the function of the Court to that of determining the reciprocal rights and obligations arising, in connection with the régime of the free zones, for these two countries, under Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, apart from the legal relations created as between the signatories of the said Treaty resulting from this Article. That does not, however, prevent the Court from expressing its opinion on the import of Article 435, paragraph 2, as it stands, with a view to determining the effect of that clause, as between France and Switzerland.

This is not disputed between the Parties. On the other hand, the latter are unable to agree as to the exact meaning and import of the question referred to the Court. The French Government contends that Article 1 of the Special Agreement, in asking the Court to say whether Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, “has abrogated or is intended to lead to the abrogation” of the provisions concerning the free zones, put forward two propositions, between which the Court must make its choice. The Swiss Government contests this view, and maintains that

the Court's duty, under the terms of the said question, is to reply in the negative to both propositions, if it finds this result necessary for a correct interpretation of Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes.

In order to settle this divergence, it is first of all necessary to be clear as to the meaning of the words "intended to lead to the abrogation".

Neither of the Parties disputes that, if France and Switzerland succeeded in reaching the agreement provided for in Article 435, paragraph 2, of the Treaty of Versailles, and in Article 2, paragraph 1, of the Special Agreement, that agreement, whatever its contents might be, would have the effect of abrogating the former provisions as such. Both Parties appear to agree that, in the passage "is intended to lead to the abrogation", abrogation is regarded as necessary, and not merely as a possible result of the common agreement: in other words, that Switzerland would then be obliged to accept, as a basis for the future negotiations contemplated by Article 435, paragraph 2, of the Treaty of Versailles, and by Article 1, paragraph 2, of the Special Agreement, the abolition of these zones, including in particular the transfer of the French Customs line in these territories to the political frontier.

It is from this standpoint that the French Government maintains that the Court must limit itself to finding, either that the abolition has already been effected, or else that it must necessarily be effected. It is also from this standpoint that the Swiss Government contends that Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has neither abrogated nor has obliged Switzerland to consent to the abrogation of the old provisions, and that the Court must give judgment to that effect.

It follows that, if the Court, in seeking to answer the question put to it by the Special Agreement, were not to construe the expression "is intended to lead to the abrogation" as meaning "is intended necessarily to lead to the abrogation", its reply would fail to remove the whole of the divergence which exists between France and Switzerland, and which has led them to have recourse to the Court.

Having thus made clear the import of the question, it is necessary to add the following observations:

From a general point of view, it cannot lightly be admitted that the Court, whose function it is to declare the law, can be called upon to choose between two or more constructions determined beforehand by the Parties, none of which may correspond to the opinion at which it may arrive. Unless otherwise expressly provided, it must be presumed that the Court enjoys the freedom which normally appertains to it, and that it is able, if such is its opinion, not only to accept one or other of the two propositions, but also to reject them both.

This conclusion is confirmed by the words in the Preamble of the Special Agreement, which states that the Parties have been unable to agree in regard to the interpretation to be placed upon Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, and have decided to resort to arbitration in order to obtain this interpretation. It is, accordingly, the correct interpretation of Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, which the Parties ask the Court to give them, in order to remove the divergence existing between them.

It is common ground that the real divergence, which has made it impossible for France and Switzerland to agree, has turned on the question whether the free zones could be abolished without the consent of Switzerland. Now, the possibility of answering both propositions either in the affirmative or in the negative could in no way prejudice the position of France; whereas the exclusion of a negative answer to both propositions would amount to deciding the merits of the question in advance against Switzerland. It is scarcely reasonable to suppose—indeed, such a supposition would be irreconcilable with the documents before the Court—that, at the moment when the dispute was about to be submitted to a judicial organ, Switzerland abandoned the legal position which she has constantly maintained in regard to the very point on which the two Parties are now divided.

The Court does not dispute the rule invoked by the French Government, that every Special Agreement, like every clause

conferring jurisdiction upon the Court, must be interpreted strictly; but that rule could not be applied in such a way as to give the Special Agreement, under the guise of strict interpretation, a construction according to which it would not only fail entirely to enunciate the question really in dispute, but would, by its very terms, have prejudged the answer to that question.

It follows that, if the Court arrives at the conclusion that Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not, as between France and Switzerland, abrogated the old provisions concerning the free zones, it is not obliged to say that the clause in question has for its object their abolition, but, on the contrary, may equally say that this is not the intention of the Article, with its Annexes.

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The first point which the Court has to examine is whether, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has abrogated the provisions concerning the free zones.

Although the question put to the Court has in view the effects of Article 435, paragraph 2, with its Annexes, it may be of advantage to consider first what is the import of this provision, disregarding the Annexes.

Article 435, paragraph 2, begins by a declaration: "The High Contracting Parties also agree that the stipulations of the treaties of 1815 and of the other supplementary acts concerning the free zones of Upper Savoy and the Gex District are no longer consistent with present conditions." This declaration is linked by the actual text of Article 435, paragraph 2, to the conclusion "that it is for France and Switzerland to come to an agreement together with a view to settling between themselves the status of these territories under such conditions as shall be considered suitable by both countries". The declaration thus made by the High Contracting Parties and the conclusion which they draw from it are explained by a series of facts which had arisen between the time of the creation of the free zones and the date of the Treaty of Versailles. It is for that reason that Article 1,

paragraph 1, of the Special Agreement invites the Court to discharge the duty entrusted to it, having regard to all facts anterior to the Treaty of Versailles, such as the establishment of the Federal Customs in 1849, which are considered relevant by the Court. From this standpoint, the facts referred to above, taken together, are clearly relevant to the question submitted to the Court.

The text itself of Article 435, paragraph 2, of the Treaty of Versailles draws from the statement that the former provisions are not consistent with present conditions no other conclusion but that France and Switzerland are to settle between themselves the status of the free zones—a conclusion which is tantamount to a declaration of disinterestedness in regard to their status on the part of the High Contracting Parties other than France. In particular, this text does not set forth the conclusion that abrogation of the old stipulations relating to the free zones is a necessary consequence of this inconsistency.

In arriving at this conclusion, the Court has not failed, in accordance with Article 1 of the Special Agreement, to have regard to all facts anterior to the Treaty of Versailles, such as the establishment of the Federal Customs in 1849, which it considers relevant; but no fact which has been brought to its knowledge seems to it calculated to weaken its conclusion. The question whether France can adduce these facts to support a claim that the old stipulations have lapsed as a result of the change in conditions will be considered below.

Moreover, it must not be overlooked that Article 435, both by reason of its position in the Treaty of Versailles and of its origin, forms a complete whole: it would therefore be impossible to interpret the second paragraph without regard to the first paragraph. But, in the first paragraph, the High Contracting Parties, after noting that the provisions of these "treaties, conventions, declarations and other supplementary acts concerning the neutralized zone of Savoy are no longer consistent with present conditions", go on to declare that "for this reason" they "take note of the agreement reached between the French Government and the Swiss Government for the abrogation of the stipulations relating to this zone", and add that these provisions "are and remain abrogated".

It follows that the expression "no longer consistent with present conditions", when used in the first paragraph of the Article, constitutes the ground on which the High Contracting Parties acquiesce in an agreement already concluded between France and Switzerland for the abolition of the neutral zone. When used in the second paragraph, these same words "are no longer consistent with present conditions" constitute the ground on which the High Contracting Parties declare that they acquiesce in a future agreement between France and Switzerland. Hence, no matter what its significance might be in other contexts, it is scarcely possible to regard the expression "are no longer consistent with present conditions" as *ipso facto* involving in the second paragraph of the Article the abolition of the free zones, since in the first paragraph its meaning is not such as automatically to involve the abolition of the neutralized zone.

It follows from the foregoing that Article 435, paragraph 2, as such, does not involve the abolition of the free zones. But, even were it otherwise, it is certain that, in any case, Article 435 of the Treaty of Versailles is not binding upon Switzerland, who is not a Party to that Treaty, except to the extent to which that country accepted it. That extent is determined by the note of the Federal Council of May 5th, 1919, an extract from which constitutes Annex I of the said Article. It is by that instrument, and by it alone, that Switzerland has acquiesced in the provision of Article 435; and she did so under certain conditions and reservations, set out in the said note, which states, *inter alia*: "The Federal Council would not wish that its acceptance of the above wording [*scil.* Article 435, paragraph 2, of the Treaty of Versailles] should lead to the conclusion that it would agree to the suppression of a system intended to give neighbouring territory the benefit of a special régime which is appropriate to the geographical and economical situation and which has been well tested." And again: "In the opinion of the Federal Council, the question is not the modification of the customs system of the zones as set up by the treaties mentioned above, but only the regulation in a manner more appropriate to the economic conditions of the present day of the terms of the exchange of goods between the regions in question."

No reservation could be more explicit. It is true that the Federal Council's note also contains the following passage: "It is conceded that the stipulations of the treaties of 1815 and other supplementary acts relative to the free zones will remain in force until a new arrangement is come to between France and Switzerland to regulate matters in this territory." Certainly, if a new arrangement were concluded between France and Switzerland, that arrangement, whatever its contents might be, would, as observed above, abrogate the former provisions as such. But it does not appear how this admission could imply the consent of Switzerland to the abrogation of the zones, thus making the declarations and reservations in her note of no effect.

As regards the French note of May 18th, 1919, which constitutes Annex II of Article 435 of the Treaty of Versailles, the following observations are called for: Although the Court's task is to interpret the said Article "with its Annexes", the Court nevertheless remains free to estimate the weight to be attached from this point of view to each of the Annexes. Whatever value may attach to the French note of May 18th, it cannot, in any circumstances, affect the conditions of the Federal Council's acquiescence in the Article in question, that acquiescence being a unilateral act on the part of Switzerland. Moreover, even if it were thought possible to attribute the same legal weight to each of the notes, they would mutually cancel each other, and the text of Article 435, paragraph 2, would again become decisive, and that text, as has been seen, does not imply the abrogation of the free zones.

The Court, therefore, reaches the conclusion that Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, has not abrogated the régime of the free zones as between France and Switzerland.

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The second point which the Court has to consider is whether Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, is intended to lead to the abrogation, as between France and Switzerland, of the provisions relating to the

free zones. It has already been explained why the Court regards the expression "is intended to lead to the abrogation", as meaning "is intended necessarily to lead to the abrogation", i.e. to create for Switzerland an obligation to proceed, in conjunction with France, to abrogate provisions acknowledged to be no longer consistent with present conditions. Such an obligation would only be conceivable in one or other of the following eventualities:

A) If by acquiescing in Article 435 of the Treaty of Versailles, subject to the considerations and reservations set out in the note of May 5th, 1919, Switzerland had bound herself to enter into negotiations for an agreement involving the abrogation of the free zones' régime.

B) If Switzerland's consent to such abrogation were not necessary, because she had no actual right to the free zones.

As regards A: As has already been observed, Article 435, paragraph 2, of the Treaty of Versailles does not draw from the statement as to the inconsistency of the former stipulations concerning the free zones with present conditions any consequence other than that it is for France and Switzerland to come to an agreement together with a view to settling between themselves the status of those territories, under such conditions as shall be considered suitable by both countries, without in any way prejudging the question of the contents of this agreement which therefore may or may not, according to the common will of the Parties, lead to the abrogation of the régime of the free zones.

But, even supposing that the words "it is for France and Switzerland to come to an agreement together with a view to settling between themselves the status of these territories under such conditions as shall be considered suitable by both countries" were interpreted as a mandate involving an obligation for France and Switzerland to proceed to abrogate provisions acknowledged to be no longer consistent with present conditions—rather than as an authorization resulting from the disinterested attitude assumed by the Powers which had signed the old treaties—this mandate would not be enforceable as against Switzerland, which has not accepted it.

For, in her note of May 5th, 1919, Switzerland has declared her readiness to co-operate in "the regulation in a manner more appropriate to the economic conditions of the present day of the terms of the exchange of goods between the regions in question", but she explicitly rejects the idea of a "modification of the customs system of the zones as set up by the treaties mentioned above". In these circumstances, it is impossible to interpret the above-mentioned note as an acceptance by Switzerland of a mandate to abrogate the free zones; for the régime of the free zones—that is to say the withdrawal of the French customs cordon—lies at the very root of the "customs system" which Switzerland refused to modify.

As regards B: It remains then to consider whether it is possible for France to abrogate the free zones régime without Switzerland's consent.

Generally speaking, the very terms of Article 435, paragraph 2, appear to presuppose the existence of a right on the part of Switzerland derived from the old stipulations. It is hard to understand why the Powers which signed the Treaty of Versailles, if they considered that Switzerland's consent was not necessary, did not declare the free zones abrogated on their own authority.

Again, it is certain that Article 435 is a provision which formed the subject of negotiations entered into at the request of France between that Power and Switzerland; that Switzerland's consent was actually asked and that various proposals were submitted to her before it was obtained; finally, that the High Contracting Parties inserted, immediately after Article 435, the Swiss note of May 5th, 1919, which note is, in the Court's opinion, like the successive proposals made by France in order to obtain it, entirely based on the existence of a right on the part of Switzerland to the free zones.

With particular regard to the Sardinian zone, it is to be observed that Switzerland, in her capacity as a Party to the Treaty signed at Turin on March 16th, 1816, has acquired a contractual right to the withdrawal of the French customs cordon in this region. It is true that following upon the Protocol of November 3rd, 1815, Sardinia, by a note of

November 11th, gave an undertaking to the Powers to create the Sardinian zone; and to do so by means of a convention with Switzerland. But this circumstance does not deprive the Treaty of Turin of its independent value as a convention between Sardinia and Switzerland.

With particular regard to the zone of Saint-Gingolph, the Court, being of opinion that the Treaty of Turin of March 16th, 1816, has not been abrogated by Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, the same is true as regards the Manifesto of the Royal Sardinian Court of Accounts of September 9th, 1829. This Manifesto, moreover, which was issued in pursuance of royal orders, following upon the favourable reception by H.M. the King of Sardinia of the request of the Canton of Valais based on Article 3 of the said Treaty of Turin, terminated an international dispute and settled, with binding effect as regards the Kingdom of Sardinia, what was henceforward to be the law between the Parties. The concord of wills thus represented by the Manifesto confers on the delimitation of the zone of Saint-Gingolph the character of a treaty stipulation which France must respect as Sardinia's successor in the sovereignty over the territory in question.

With particular regard to the zone of Gex, the following is to be noted:

Pursuant to Article 6 of the Treaty of Paris of May 30th, 1814, the Powers assembled at the Congress of Vienna addressed to Switzerland, on March 20th, 1815, a "Declaration" to the effect that "as soon as the Helvetic Diet shall have duly and formally acceded to the stipulations in the present instrument, an act shall be prepared containing the acknowledgment and the guarantee, on the part of all the Powers, of the perpetual neutrality of Switzerland, in her new frontiers¹". The "instrument" which forms part of this Declaration, amongst other territorial clauses, provides that the line of the French customs is to be so placed "that the road which leads from Geneva into Switzerland by Versoy, shall at all times be free¹".

The proposal thus made to Switzerland by the Powers was accepted by the Federal Diet by means of the "act of

¹ Translation taken from *The Map of Europe by Treaty, 1814-1875*, Hertslet.

acceptance" of May 27th, 1815; according to this act, "the Diet accedes, in the name of the Swiss Confederation, to the Declaration of the Powers assembled at the Congress of Vienna under date of the 20th March, 1815, and promises that the stipulations contained in the Transaction inserted in this Act shall be faithfully and religiously observed¹".

On receipt of Switzerland's formal declaration of acceptance, the Powers drew up the instrument promised in their Declaration of March 20th: this instrument is the Declaration of November 20th, 1815.

By this Declaration, signed *inter alios* by France, "the Powers who signed the Declaration of the 20th of March declare their formal and authentic acknowledgment of the perpetual neutrality of Switzerland; and they guarantee to that country the integrity and inviolability of its territory in its new limits, such as they are fixed, as well by the Act of the Congress of Vienna as by the Treaty of Paris of this day, and such as they will be hereafter; conformably to the arrangement of the Protocol of November 3rd, extract of which is hereto annexed, which stipulates in favour of the Helvetic Body a new increase of territory, to be taken from Savoy, in order to disengage from enclaves, and complete the circle of the Canton of Geneva¹".

The "new limits" of Switzerland "fixed by the Treaty of Paris of this day" are indicated in the first article of that Treaty, the preamble and paragraph 3 of which are as follows:

"The frontiers of France shall be the same as they were in the year 1790, save and except the modifications on one side and on the other, which are detailed in the present Article.

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3. In order to establish a direct communication between the Canton of Geneva and Switzerland, that part of the Pays de Gex, bounded on the east by Lake Lemman; on the south, by the territory of the Canton of Geneva; on the north, by that of the Canton of Vaud; on the west, by the course of the Versoix, and by a line which comprehends the communes of

¹ Translation taken from *The Map of Europe by Treaty*, 1814-1875, Hertslet.

Collex-Bussy, and Meyrin, leaving the commune of Ferney to France, shall be ceded to the Helvetic Confederacy, in order to be united to the Canton of Geneva. The line of the French Customs-houses shall be placed to the west of the Jura, so that the whole of the Pays de Gex shall be without that line¹."

The extract from the Protocol of November 3rd which is attached to the Declaration, contains the following provision:

"The French Government having consented to withdraw its lines of custom and excise from the frontiers of Switzerland, on the side of the Jura, the Cabinets of the Allied Powers will employ their good offices for inducing His Sardinian Majesty to withdraw in like manner, his lines of custom and excise, on the side of Savoy, at least upwards of a league from the Swiss frontiers, and on the outside of the great road of Saleve, and of the mountains of Sion and Vuache¹."

It follows from all the foregoing that the creation of the Gex zone forms part of a territorial arrangement in favour of Switzerland, made as a result of an agreement between that country and the Powers, including France, which agreement confers on this zone the character of a contract to which Switzerland is a Party.

It also follows that no accession by Switzerland to the Declaration of November 20th was necessary and, in fact, no such accession was sought: it has never been contended that this Declaration is not binding owing to the absence of any accession by Switzerland.

The Court, having reached this conclusion simply on the basis of an examination of the situation of fact in regard to this case, need not consider the legal nature of the Gex zone from the point of view of whether it constitutes a stipulation in favour of a third Party.

But were the matter also to be envisaged from this aspect, the following observations should be made:

It cannot be lightly presumed that stipulations favourable to a third State have been adopted with the object of creating an actual right in its favour. There is however nothing to prevent the will of sovereign States from having this object and this effect. The question of the existence of a right acquired

¹ Translation taken from *The Map of Europe by Treaty*, 1814-1875, Hertslet.

under an instrument drawn between other States is therefore one to be decided in each particular case: it must be ascertained whether the States which have stipulated in favour of a third State meant to create for that State an actual right which the latter has accepted as such.

All the instruments above mentioned and the circumstances in which they were drawn up establish, in the Court's opinion, that the intention of the Powers was, beside "rounding out" the territory of Geneva and ensuring direct communication between the Canton of Geneva and the rest of Switzerland, to create in favour of Switzerland a right, on which that country could rely, to the withdrawal of the French customs barrier behind the political frontier of the District of Gex, that is to say, of the Gex free zone.

In this connection, it should be recalled that the free zone of Gex which was asked for by Switzerland as an alternative to the cession of that territory, constitutes one of the territorial stipulations contemplated by the first Treaty of Paris of 1814, and which were made effective by stages by means of the decisions of the Congress of Vienna and the second Treaty of Paris, and are referred to in the Declaration addressed by the Powers to Switzerland on November 20th, 1815.

It should also be recalled that the establishment of the Sardinian zone is the counter-part of the establishment of the Gex zone, that the Powers, including France, undertook to obtain this counter-part from the King of Sardinia and that, according to the Powers' note to Sardinia of November 20th, 1815, this was to be effected by means of a convention between Sardinia and Switzerland. It is difficult to see why Sardinia should have been called upon to concede a right to Switzerland by way of a counter-part, if the Gex zone had been regarded, so far as Switzerland was concerned, as a mere benevolent concession devoid of any solid legal basis. In actual fact, throughout the long period during which the rights claimed by Switzerland have been acknowledged, no distinction would appear to have been drawn between the two zones; nor does Article 435, paragraph 2, of the Treaty of Versailles make any distinction between them.

In the Court's opinion, the French Government's submission that, as Switzerland has no right to the free zones, the latter can be suppressed without her consent, is not tenable.

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Accordingly, with regard to the question put by Article 1, paragraph 1, of the Special Agreement, the Court arrives at the conclusion that, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles with its Annexes neither has abrogated nor has for its object the abrogation of the provisions of the Protocol of the Conference of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, or of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the Pays de Gex.

* * *

Having thus shown what reply must, in its view, be given to the question enunciated in Article 1 of the Special Agreement, and the Parties having been unable, within the time-limit granted pursuant to paragraph 2 of that Article, "to settle between themselves the new régime" of the territories in question "under such conditions as they may consider expedient, as provided in Article 435, paragraph 2" of the Versailles Treaty, the Court passes on to an examination of the questions ensuing from the task entrusted to it under Article 2 of the Special Agreement, the first paragraph of which is as follows:

"Failing the conclusion and ratification of a convention between the two Parties within the time specified, the Court shall, by means of a single judgment rendered in accordance with Article 58 of the Court's Statute, pronounce its decision in regard to the question formulated in Article 1 and settle for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles."

As regards this task, the Court is confronted by a fundamental difference in the standpoints of the Parties. According to the French Government, the Court is required to effect, on behalf and instead of France and Switzerland, the settlement contemplated by Article 435, paragraph 2, of the Treaty of Versailles. The Court, therefore, would have the same powers and the same freedom of judgment and decision as France and Switzerland themselves have in negotiating the agreement contemplated by this Article of the Treaty. Just as France and Switzerland themselves would not have been bound by the conclusions of the Court's deliberation upon the question formulated in Article 1 of the Special Agreement, so the Court would not be bound by those conclusions. In deciding what régime shall be instituted, the Court would not be bound even in part by the stipulations of the treaties of 1815 and 1816 and the supplementary acts referred to in paragraph 2 of Article 435 of the Treaty of Versailles. The Court, on the contrary, would have to establish the régime which appeared to it to be most expedient having regard to present conditions, and it would be free, according to its view of the conditions, either to abolish the zones or to maintain them.

This is the assumption upon which the French Government submitted to the Court "draft regulations", based on the abolition of the free zones, the juxtaposition of the customs cordons at the political frontier and the institution of a special frontier régime involving the permeability of the two customs cordons.

The Swiss Government, on the other hand, urges *inter alia* that the Court must, "by a single judgment", first of all decide the question enunciated in Article 1 of the Special Agreement touching the interpretation of Article 435, paragraph 2, with its Annexes, and then settle all the questions involved by the execution of that paragraph; Switzerland therefore considers that the Court has not merely to make this settlement on grounds of expediency, but that the settlement to be established must be founded on respect for Switzerland's rights as recognized by the Court in its answer to the question enunciated in Article 1 of the Special Agreement.

Since the Court has recognized that the stipulations which created the free zones conferred on Switzerland a right to these zones, and that, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles with its Annexes has not abrogated the stipulations in question and is not intended necessarily to lead to their abrogation, it follows, according to the Swiss Government, that the Court cannot execute that Article except in accordance with the interpretation thus given, and that, consequently, as long as Switzerland does not renounce her right, it cannot decide that the free zones are to be abolished. The Court might well adapt the zones' régime to present conditions, since Switzerland consents thereto, but beyond that it could not go.

Accordingly, the draft decision submitted by the Swiss Government in 1930 with the request that the Court should adopt it consisted of just such an adaptation.

In view of these contentions, it must be noted, firstly, that the provision whereby the Court must fulfil the task entrusted to it under Article 2 of the Special Agreement "by a single judgment", seems to indicate a connection between both parts of this task, and that the conclusion reached by the Court in answering the question in Article 1, paragraph 1, of the Special Agreement cannot be irrelevant to the fulfilment of that part of its task which consists in settling all the questions involved by Article 435, paragraph 2, of the Treaty of Versailles.

In fact, it is hardly conceivable that a single judgment should contain in the first place the interpretation of Article 435, paragraph 2, of the Treaty of Versailles with its Annexes on the point whether, as between France and Switzerland, that Article, with its Annexes, abrogated or was intended to lead to the abrogation of the stipulations enumerated in Article 1 of the Special Agreement, and then go on to lay down in connection with the settlement of the question involved or the execution of the same Article, provisions which disregarded or conflicted with the interpretation given by the Court.

Similarly, it seems impossible to suppose that the Parties could have desired to obtain definite indications, before the negotiations referred to in Article 1, paragraph 2, of the Special Agreement, in regard to the points indicated in the first paragraph of that Article, if, in the event of the failure of the negotiations, the Court had been free to settle the régime on a basis other than that indicated to the Parties at the close of its deliberation. The whole of the procedure contemplated by Article 1 of the Special Agreement and the interpretative notes annexed thereto would, in fact, cease to have any object if the Court, in making the settlement contemplated by Article 2 of the Special Agreement, could disregard its own interpretation of Article 435 of the Treaty of Versailles.

This procedure is only explicable on the assumption that the Parties were mainly concerned to reach a friendly agreement, and thought such an agreement could not be attained as long as the questions raised in Article 1 of the Special Agreement remained unsolved, but that once that question was solved, the solution reached would serve as a basis, not only for the future agreement but also for the settlement which, in the event of the negotiations failing, the Court would have to effect.

It appears from the information given about the negotiations which took place between the Parties prior to the conclusion of the Special Agreement and which were adduced before the Court during the first phase of the proceedings, that the cause of the failure of the negotiations was the difference between the Parties as to whether the zones' régime could be abolished without Switzerland's consent, and more especially, as to whether that was the effect of Article 435 of the Treaty of Versailles with its Annexes. This fact seems to be confirmed by the preamble of the Special Agreement, which reads:

"Whereas France and Switzerland have been unable to agree in regard to the interpretation to be placed upon Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, and as it has proved impossible to effect the agreement provided for therein by direct negotiations,

Have decided to resort to arbitration in order to obtain this interpretation and for the settlement of all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles."

The close connection between this interpretation and the settlement which is to follow is clearly marked in this preamble and supplies a strong argument in favour of the view that the settlement entrusted to the Court is to be made on the basis of its answer to the question in Article 1 of the Special Agreement.

The French argument, according to which the Court, in settling all the questions involved by the execution of Article 435 of the Treaty of Versailles, enjoys the same powers and the same freedom of judgment and decision as France and Switzerland would themselves enjoy in negotiating an agreement, cannot be upheld.

While it is certain that the Parties, being free to dispose of their rights, might have embodied, in the negotiations contemplated in Article 1, paragraph 2, of the Special Agreement, and might also in any future negotiations embody in their agreement any provisions they might desire, and, accordingly, even abolish the free zones or settle matters lying outside the framework of the régime with which Article 2 of the Special Agreement deals, it in no way follows that the Court enjoys the same freedom. Such freedom, being contrary to the proper function of the Court, could, in any case, only be enjoyed by it if such freedom resulted from a clear and explicit provision which is not to be found in the Special Agreement.

In fact, Article 2 of the Special Agreement does not say that the Court shall be substituted for the Parties with a view to establishing the régime of the territories in question. It says that it is for the Court to settle all the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles. Accordingly, the French Government itself recognized that the Court, unlike the Parties, must confine itself to settling the customs questions and that it can only deal, as indeed is clear from the reference in the Special Agreement to Article 435 of the Treaty of Versailles, with the territories referred to in that Article. The Court will return later to the questions which arise in connection with these limitations.

However, other objections have been raised, based on the actual text of Article 2 of the Special Agreement. Thus it

has been argued that it is "for a period to be fixed by it and having regard to present conditions" that the Court must fulfil its task of settling all the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles.

On this point, it may be observed that "having regard to present conditions" does not mean "having regard solely to present conditions", and that these words do not imply that all the questions which have to be settled are capable of settlement on the basis of present conditions.

Similarly, the words "for a period to be fixed by it" (the Court) do not mean that all the features of the settlement are to be temporary and limited. Therefore, it would not be contrary to this clause to decide, for example, that the position of the French customs line and other features of the settlement which, like the latter, are derived from the respective rights of either Party, should remain in force as long as the right from which they flow has not been abolished or modified by agreement between the Parties. All that may be inferred from the words in question is that the Parties thought that among "all the questions" referred to, there might be some which ought only to be settled for a limited period and having regard to present conditions.

Another argument was put forward, based on the fact that Article 2 of the Special Agreement, unlike Article 1, refers to Article 435, paragraph 2, of the Treaty of Versailles without mentioning the Annexes. From this it was inferred that, since the provisions which the Court was to execute were not the same as those which it was to interpret, it was not bound, in proceeding to execute the Article, by the interpretation which it had placed upon the Article with its Annexes.

The Court is unable to attach to this fact the force thus attributed to it, which would run counter to the foregoing considerations. In the Court's view, a more correct construction would be to regard the reference to Article 435, paragraph 2, of the Treaty of Versailles as relating to that paragraph, such as it is interpreted by the Court in its

answer to the question set out in Article 1 of the Special Agreement, because that answer must determine the effect, as between France and Switzerland, of Article 435.

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For the reasons given, the Court will therefore deal with the questions involved in the execution of paragraph 2 of Article 435 of the Treaty of Versailles upon the footing that it must recognize and give effect to the rights which Switzerland derived from the treaties of 1815 and the other supplementary acts relating to the free zones.

In the course of the oral observations provided for by the Orders of December 6th, 1930, and August 6th, 1931, the representative of the French Government made a series of submissions based on the opposite contention; to this extent, therefore, these submissions cannot be entertained.

But in the same submissions it was argued on behalf of the French Government that, irrespective of the abrogatory effect of Article 435 of the Treaty of Versailles, the old stipulations establishing the zones were no longer in force. It was submitted, as regards all the zones, that the change of circumstances has been so great as to justify the Court in holding that the treaties have lapsed, and also, as regards the Sardinian zone, that Article 3 of the Treaty of Turin of 1816 was impliedly abrogated by the conclusion between the Parties of subsequent treaties relating to Savoy which are incompatible with the continued existence of the zone.

The Agent for the Swiss Government has contested the right of the French Government to put forward these arguments at the present stage, and has asked the Court to reject them as inadmissible.

On the other hand, both Parties have repeatedly insisted on the essential importance of all points at issue between them on the present submission being, as far as possible, settled by the Court. For this reason, and also because the decision of an international dispute of the present order should not mainly depend on a point of procedure, the Court thinks it preferable not to entertain the plea of

inadmissibility and to deal on their merits with such of the new French arguments as may fall within its jurisdiction in so far at least as they may raise questions incidental to the main issue.

The argument in favour of the view that the stipulations establishing the zones have lapsed is that these zones were created in view of and because of the existence of a particular state of facts, that this state of facts has now disappeared owing to Switzerland's own action, and that in consequence the Court, which is charged with the mission of settling the dispute between the Parties, is entitled as between them to declare that the stipulations have lapsed.

The fact on which the Agent for the French Government has chiefly relied in support of his argument is that in 1815 the Canton of Geneva was to all intents and purposes a free trade area, that the withdrawal of the French and Sardinian customs lines at that time made the area of Geneva and that of the zones an economic unit, and that the institution of the Swiss Federal Customs in 1849 destroyed this economic unit and put an end to the conditions in view of which the zones had been created.

To establish this position it is necessary, first of all, to prove that it was in consideration of the absence of customs duties at Geneva that the Powers decided, in 1815, in favour of the creation of the zones. There is nothing in the text of the treaties to support this, and the only occasion on which the Swiss representative at the Allied gatherings in 1815 is shown to have relied on the absence of customs at Geneva was when he endeavoured to secure the withdrawal of the French customs along the whole frontier from Basle to Geneva—an effort in which he was not successful.

It is true that in 1815 the duties levied on imported goods by the Canton of Geneva were trifling in amount and constituted no hindrance to commerce, but such duties existed, and therefore it cannot have been because there were no customs duties at all that the zones were created.

Nor can the Court assume that what the Powers had in view in 1815 was a condition of things under which modest customs duties might be imposed, but not substantial duties, with the result that a serious increase would justify a claim

that the relevant stipulations had lapsed. The resulting situation would have been much too precarious to constitute the basis of a part of the European settlement after the Napoleonic wars.

The French argument that the institution of the Swiss Federal Customs in 1849 justifies a claim that, by reason of the change in the circumstances in view of which the zones were set up, the old stipulations by virtue of which the zones were created, have lapsed, therefore fails from lack of proof that the zones were in fact established in view of the existence of circumstances which ceased to exist when the Federal Customs were instituted in 1849.

This view is fully confirmed by the fact that, eleven years after the change in the Swiss Customs legislation which took place in 1849, France, by her own act, created a free zone which was far more extensive than the zones instituted in 1815-1816, and included the Sardinian zone, and that she maintained this new zone in existence for more than sixty years. Accordingly, in the negotiations for the conventions by which Switzerland bound herself to admit goods imported from the zones free of duty for a fixed period, the granting of such a privilege was never treated as a condition on which the provisions establishing the free zones must depend for the continuance of their validity. This attitude on the part of France would be incomprehensible if the Powers, including France herself, who signed the Treaty of November 20th, 1815, and the Declaration of the same day, had thought, when concluding that Treaty and drawing up the Declaration addressed to Switzerland, that the maintenance of the customs régime existing at that time in the Canton of Geneva was a condition precedent to the withdrawal of the French and Sardinian customs lines.

As regards the zone of Saint-Gingolph, the French Agent relied on the fact that no customs post at Saint-Gingolph-Valais existed between 1816 and 1850, except for a few months in one year. This was due to the introduction of an "*abonnement*", or commutation of the customs duties, in return for an annual sum paid by the inhabitants of the Swiss

commune of Saint-Gingolph-Valais to the Federal authorities at Berne. Here again, though it appears to be true that by reason of the "*abonnement*" there were in fact no customs duties levied at Saint-Gingolph-Valais at the time that the Saint-Gingolph zone was created, there is no sufficient proof that the Saint-Gingolph zone was created in view of this circumstance. It seems to be a part of the general arrangements for the withdrawal of the Sardinian customs line.

It has been observed above that the establishment of the Federal Customs in 1849 was the circumstance upon which the French Government mainly relied in arguing that the old stipulations had lapsed. No doubt there have been other changes, for instance, in connection with the food supply requirements of Geneva, with the development of communications and with technical progress which have no bearing on the whole body of circumstances—circumstances essentially governed by the geographical configuration of the Canton of Geneva and of the surrounding region—which the High Contracting Parties had in mind at the time that the free zones were created; accordingly they cannot be taken into consideration.

As the French argument fails on the facts, it becomes unnecessary for the Court to consider any of the questions of principle which arise in connection with the theory of the lapse of treaties by reason of change of circumstances, such as the extent to which the theory can be regarded as constituting a rule of international law, the occasions on which and the method by which effect can be given to the theory if recognized, and the question whether it would apply to treaties establishing rights such as that which Switzerland derived from the treaties of 1815 and 1816.

As regards Article 3 of the Treaty of Turin establishing the Sardinian zone, the French argument is that this Article was impliedly abrogated by the subsequent conclusion between the Parties of treaties which were incompatible with the continued existence of the Sardinian zone.

The treaties relied on are: the Swiss-Sardinian Treaty of Commerce of 1851 and the Franco-Swiss Treaty of 1881. Neither Treaty makes any reference to the Sardinian zone.

The earlier treaty contained a provision—Article 4—under which, in consideration of the free exit of foodstuffs intended for consumption in Geneva through the customs posts of the Duchy of Savoy and the provinces of Chablais, Genevois and Faucigny, Switzerland agreed to admit certain Sardinian products into Switzerland free of duty. Despite the absence of all mention of the Sardinian zone in this provision, there is nothing in it incompatible with the existence of that zone, and so far as the Court is aware the Sardinian zone continued to exist throughout the period from the ratification of the Treaty to the creation of the Annexation zone in 1860.

The Franco-Swiss Treaty of 1881 was concluded for the purpose of regulating the exchange of goods between the Canton of Geneva and the Annexation zone of 1860 (then called the free zone of Upper Savoy), of which the Sardinian zone formed a part. The zone of 1860 was liable to suppression by unilateral action on the part of France, and Article 11 of the Treaty made provision as to what was to happen in that event without saying anything as to the resuscitation of the Sardinian zone. The French argument is that it must therefore be assumed that the Parties intended to abolish the Sardinian zone. The Court is not prepared to draw any such deduction from the absence of all mention of the Sardinian zone in Article 11. The natural interpretation of the Article is that in the event of the abolition of the zone of 1860 the Swiss obligation to admit the produce from that area into Switzerland should come to an end altogether. No claim could be advanced against her that she was bound to admit produce from the smaller or Sardinian zone.

The French argument as to the suppression of the Sardinian zone by the implied abrogation of Article 3 of the Treaty of Turin is also inconsistent with the argument which has been put forward by the French Agent that the instrument which created the Sardinian zone was the Protocol of November 3rd, 1815, and not the Treaty of Turin of 1816.

For these reasons the Court cannot accept the French contention that the treaties of 1815 and the other supplementary acts relating to the free zones, if not abrogated by

the Treaty of Versailles, have nevertheless now ceased to be in force.

The conclusion at which the Court has thus arrived is supported by statements made, both before and after the great war, on behalf of the French Government. The Court deems it sufficient to recall in this connection the note addressed on April 28th, 1919, by the French Embassy at Berne to the Swiss Political Department, in which it said that:

"There is no international agreement binding the French Government as regards this new zone [Annexation zone], except for a convention, purely administrative in scope, with Switzerland, which convention could be denounced upon giving one year's notice and was denounced by France some months ago.

France is therefore no longer under an obligation to any Power to respect the great free zone, but only the Gex zone and the small Sardinian zone."

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Under Article 2 of the Special Agreement, the Court, after pronouncing its decision on the question whether the old stipulations have been, or were intended to be, abrogated by Article 435, paragraph 2, of the Treaty of Versailles, is to settle all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles—the provision which stated that it was for France and Switzerland to settle the status of the territories constituting the free zones. The question which must next be considered is whether, and if so to what extent, it is within the power of the Court to fulfil this mission.

Paragraph 2 of Article 2 of the Special Agreement provides that, if the judgment of the Court contemplated the import of goods free or at reduced rates through the Swiss or French customs barrier, the regulation of such importation should only be made with the consent of the two Parties. By this provision, the two Parties subordinated to their joint concurrence a part of the Court's judgment.

An examination of the written and oral pleadings which have been submitted to the Court shows that both France and Switzerland have regarded the "permeability" of the customs

line, i.e. the admission of goods free or at reduced rates, as an essential part of any settlement of the dispute as to the free zones. It has been stated in argument that no settlement would be complete unless this question of customs franchises was included. The Swiss note of May 5th, 1919, annexed to Article, 435, even treats the regulation of the exchange of goods as the only thing which is required to be done. It follows that that part of the Court's judgment which would most intimately affect the everyday life of the people concerned is made dependent on the approval of the two Parties.

Such a condition, if the consent is to be subsequent to the judgment, cannot be reconciled with Articles 59 and 60 of the Statute of the Court, which provide that the judgment is binding and final.

It is true that one Party—Switzerland—has given its approval in advance to any provisions which the Court may lay down, but the other has explained that, for constitutional reasons, it would be precluded from doing so. By the terms of its Constitution, any engagements which affect the State finances must be approved by the Chambers, and it would therefore be impossible for the French Government, without the concurrence of the Chambers, to give in advance its approval to any provisions relating to customs franchises which the Court might insert in the judgment.

The Court, in its Order of December 6th, 1930, drew attention to the difficulties which, in the absence of previous consent by both Parties, were created by this provision in the Special Agreement, and at that time adjourned the further consideration of the case in the hope that the Parties would come to an agreement on this subject. The Court then said that, failing agreement between the Parties, it would give its judgment on the points of law involved in the case. Unfortunately, the hope of an agreement has not been realized.

After mature consideration, the Court maintains its opinion that it would be incompatible with the Statute, and with its position as a Court of Justice, to give a judgment which would be dependent for its validity on the subsequent approval of the Parties.

The contents of paragraph 2 of Article 2 of the Special Agreement and the attitude of the Parties throughout the dispute, together with the explanations which have been submitted to the Court on their behalf during the oral arguments, show how unsuitable to the rôle of a Court of Justice is the task which is entrusted to the Court by the first paragraph of Article 2. It is a task with which the Court would have felt hesitation in complying, even if the second paragraph of Article 2 had not been inserted in the Special Agreement.

The fact that it was felt to be necessary for the Parties in this case to approve so much of the judgment as might relate to tariff exemptions is because the settlement of such matters is not a question of law, but is a matter depending on the interplay of economic interests on which no Government can afford to be controlled by an outside organ. Such questions are outside the sphere in which a Court of Justice, concerned with the application of rules of law, can help in the solution of disputes between two States.

For these reasons, the Court adheres to the opinion which it expressed in the Order of December 6th, 1930, that, if the Parties failed to come to an agreement which involved their assent to matters covered by Article 2, paragraph 2, of the Special Agreement, judgment must be limited to questions of law, i.e. to questions not covered by that provision.

The request of the French Government that the Court should order an expert enquiry to be undertaken and that it should arrange for an investigation on the spot by a delegation of its members, corresponds with a similar request which was made in 1930 on behalf of the Swiss Government and which has not been withdrawn. The Swiss Government however contended, in its recent observations, that, if the Court's judgment must be limited to questions not covered by Article 2, paragraph 2, of the Special Agreement, this request would cease to have any object. The Court, sharing this view, cannot, in the present circumstances, give effect to the French request. It cannot interpret the relevant provision of Article 4, paragraph 2, of the Special Agreement,

as meaning that it would be bound in any event to comply with such a request.

It has been argued on behalf of the French Government that if the Court finds itself unable for any reason to carry out the whole of the mission entrusted to it by the Special Agreement, it should declare itself incompetent as to the whole and give no judgment whatever. It was argued that the jurisdiction of the Court emanated from the Special Agreement and was circumscribed by it, and that the words in Article 2, "by a single judgment", showed that no distinction could be drawn between the question of interpretation dealt with in Article 1 of the Special Agreement and that covered by Article 2. For the Court to limit its judgment to part of the mission entrusted to it by the Special Agreement, was to run counter to the will of the Parties, and therefore to destroy the basis of its jurisdiction.

It was also urged that the conclusion of the Special Agreement represented a compromise between the opposing views of the Parties—one of the two States being particularly interested in the legal question submitted to the Court in Article 1, and the other in the subjects dealt with in Article 2—and that to give judgment only on the question of law submitted by Article 1 was unjust, as it destroyed the balance between the two Parties.

The Court is not satisfied that these arguments should prevail. It is the Special Agreement which represents, so far as the Court is concerned, the joint will of the Parties. If the obstacle to fulfilling part of the mission which the Parties intended to submit to the Court results from the terms of the Special Agreement itself, it results directly from the will of the Parties and, therefore, cannot destroy the basis of the Court's jurisdiction for the reason that it was counter to the will of the Parties.

As regards the second argument, it must not be forgotten that one of the Governments concerned has agreed in advance to whatever measures of permeability the Court might impose as to goods passing through the customs barriers. For the Government which finds itself unable for constitutional reasons to make a similar declaration to claim that the Court should,

because of the consequences which the Court is bound to attribute to this provision in the Special Agreement, declare itself incompetent as to the whole dispute, would not be just to the other Government.

The extent to which the Court has power to fulfil the task entrusted to it by paragraph 2 of Article 435 of the Treaty of Versailles is also limited in a further respect.

If the Court, in settling the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles, must respect Switzerland's right to the [zones, it must] also respect the sovereignty of France over the zones; this sovereignty is complete in so far as it has not been limited by the provisions of the treaties of 1815 and 1816 and by the instruments supplementary to these treaties. With regards to the Pays de Gex, the old stipulations relate exclusively to the line along which the French [customs offices are to be placed; and, with regard to the Sardinian zone, the situation is, under Article 3 of the Treaty of Turin, very much the same; it is a question merely of the withdrawal of the [former Sardinian, now French, customs line behind the political frontier.

In proceeding to state the terms of the settlement in question, the Court will be guided by the foregoing principles.

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Switzerland's right to the maintenance of the zones having been recognized by the Court, but France having, in 1923, without Switzerland's consent, placed her customs line at the political frontier, France must, following the present judgment, withdraw that line in accordance with the old provisions.

As regards the manner in which this obligation is to be discharged, certain differences of opinion have, however, arisen, more particularly with regard to the exact position of the inner boundaries fixed by the old provisions. Thus, while Switzerland considers that, according to a correct interpretation of Article 1 of the second Treaty of Paris, the inner limit of the Gex zone should follow the left bank of the Valserine from its source to its confluence with the Rhone and along the

right bank of the latter as far as Collogny "so that the whole of the Pays de Gex, in the Ain Department, shall be outside this line", the French Government argues that that would extend this zone beyond the boundary fixed in the Treaty of Paris and disputes the Court's jurisdiction to decide this question. The task of the Court, according to this Government, is to pass upon the régime of the territories dealt with in that Treaty, but not to delimit their boundaries.

The Court considers that, in the absence of France's consent, this is a question outside the jurisdiction conferred on it by the Special Agreement. No question regarding the delimitation of the zones was submitted in that agreement, nor does it seem necessary to pass upon the demarcation of these boundaries as an incidental and preliminary question.

The situation is somewhat different as regards the provision in the proposal submitted in 1930 by the Swiss Government and which contemplates a modification of the inner boundary of the Sardinian zone in order to avoid certain difficulties which would ensue from the maintenance of the line fixed by the Treaty of Turin. These modifications consist, *inter alia*, in the exclusion from the zone of that part of the Annemasse district which is included in the zone by the line of the Treaty of Turin, and in the adoption of a line which would also leave outside the zone the Annemasse-Évian railway which, according to the 1816 delimitation, enters and leaves the zone in several places. Accordingly, here there is no question of an interpretation of the provisions of the Treaty of Turin, but of improving the delimitation of the line therein laid down. On behalf of France, however, it has been contended that the line proposed takes in portions of French territories which, under the Treaty of Turin, were not included in the free zone, and that, consequently, the Court has no jurisdiction to accept it. This fact has not been disputed by Switzerland, which merely observes that the delimitation proposed is dictated by the configuration of the ground and that it would only slightly depart from the line of the Treaty at a few points.

In these circumstances, the Court is of opinion that, in the absence of France's consent, it has no jurisdiction to entertain the amendments of the line proposed by Switzerland.

Similarly, the Court is unable to regard itself as competent, without France's consent, to entertain the Swiss Government's proposal concerning the establishment of a French customs office on Swiss territory at the Geneva-Cornavin station.

Finally, Article 12 of that proposal, concerning horse and other animal transport and vehicles of all kinds, also goes beyond the Court's jurisdiction in the absence of France's consent; this likewise applies to Article 13 of the Swiss proposal providing for an appeal to the Court in the event of disputes as to the interpretation or execution of the settlement established by the Court.

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A question of far greater importance which arises in this connection is the following.

In the course of his argument, the Swiss Agent drew attention to the control cordon (*cordon de surveillance*) instituted at the political frontier by the French Government during the war 1914-1918, and to the claim of the French Government to levy fiscal taxes at the frontier on imported goods. As to the latter he asked that, since the legitimacy of the control cordon had been recognized, the judgment of the Court should state what taxes may legitimately be imposed at the frontier and claimed that the importation tax (*taxe à l'importation*) was a customs tax in disguise.

On this point, the Court makes the following observation:

It follows from the principle that the sovereignty of France is to be respected in so far as it is not limited by her international obligations, and, in this case, by her obligations under the treaties of 1815 together with supplementary acts, that no restriction exceeding those ensuing from these instruments can be imposed on France without her consent. Thus, there is no doubt that the Court is unable to restrain France from establishing at her political frontier a police cordon for the control of traffic, and this moreover does not appear to be

disputed by Switzerland. On the other hand, Switzerland disputes the right of France to collect duties and taxes at her political frontier even though these charges are not duties and taxes on the importation or exportation of goods but are duties and taxes also levied on the same articles produced or manufactured in France. Switzerland, in fact, has in her draft decision (Art. 3, para. 2) proposed that imports from Switzerland to the free zones shall be free of any duties and taxes whatsoever, a suggestion which has met with lively opposition on the part of France.

In this connection, the Court observes that no such limitation necessarily ensues from the old provisions relating to the free zones; that in case of doubt a limitation of sovereignty must be construed restrictively; and that while it is certain that France cannot rely on her own legislation to limit the scope of her international obligations, it is equally certain that French fiscal legislation applies in the territory of the free zones as in any other part of French territory.

The legitimacy of the imposition of fiscal taxes within the zones as apart from customs duties at the frontier, is shown by Article 4 of the Manifesto of the Royal Sardinian Court of Accounts of September 9th, 1829, relating to the zone of Saint-Gingolph:

"The laws at present in force in the said communes included in the new zone relating to excise and other duties (*gabelles*)—with the sole exception of the laws concerning the customs—shall continue to be observed as heretofore."

A reservation must be made as regards the case of abuses of a right, since it is certain that France must not evade the obligation to maintain the zones by erecting a customs barrier under the guise of a control cordon. But an abuse cannot be presumed by the Court.

The tax to which the Swiss Agent had drawn the particular attention of the Court is the tax on importation, a form of the turnover tax which is levied at the frontier on goods imported as the result of a contract. It is impossible at present to say whether this tax, which was instituted by the French law of June 25th, 1920, is now levied at the

frontier as a customs duty or as a fiscal tax, or whether the French Government would claim to continue to levy it at the frontier if the customs line were withdrawn. However that may be, the Court neither desires nor is able to consider whether the collection at the political frontier of any particular French tax is or is not contrary to France's obligations. It feels it must confine itself to stating that, in principle, a tax levied solely by reason of importation or exportation across the frontier must be regarded as a tax in the nature of a customs duty and consequently as subject to the regulations relating thereto.

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If, therefore, considerations connected with its own jurisdiction and with the respect due to the sovereignty of France over the free zones prevent the Court from entertaining certain requests made on behalf of the Swiss Government, similar considerations compel the Court to refrain from entertaining the suggestion which has been made on behalf of the French Government that, in order to get over the difficulty created by Article 2, paragraph 2, of the Special Agreement, the Court should include in its judgment a provision for the withdrawal of the Swiss customs line from the frontier to the further side of the Canton of Geneva and of the commune of Saint-Gingolph. Any such decision, even if it commended itself to the Court, on its merits, would be beyond the Court's jurisdiction. The agreement which was to be concluded between France and Switzerland under Article 435, paragraph 2, of the Treaty of Versailles was for the purpose of settling the status of "these territories", i.e. the free zones, and though it may well have been intended that the Agreement should include such matters as the permeability of the Swiss customs line, it cannot be construed as covering the withdrawal of that customs line from the frontier.

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The withdrawal of the French customs line from the political frontier in the areas constituting the free zones of the Gex District and Upper Savoy, coupled with the inability of the Court to include in its judgment any provisions as to the

import of goods free or at reduced rates through the Federal Customs barrier, will leave exports from the zones to Geneva without any right to exemptions from duty other than those which the Federal Government may grant spontaneously. The Swiss Government, however, throughout the present controversy and ever since its note of May 5th, 1919, has recognized the need for safeguarding the interest of the zonians and has declared that it is prepared to agree to the setting up of a more stable and more liberal régime for the admission of the zones produce into Switzerland.

The Court does not hesitate to express its opinion that if, by the maintenance in force of the old treaties, Switzerland obtains the economic advantages derived from the free zones, she ought in return to grant compensatory economic advantages to the people of the zones.

In the course of the oral arguments before the Court, the Swiss Agent declared, on behalf of his Government, that if the zones were maintained, the Federal Government would, if France so desired, agree to the terms of the exchange of goods between the zones and Switzerland being settled by experts, failing agreement with regard to them by the Parties. The decision of the experts should be binding on the two States and, so far as Switzerland was concerned, would not require ratification.

The terms of this declaration are as follows :

"1° By the note of May 5th, 1919 (Annex I to Article 435 of the Treaty of Versailles), Switzerland undertook—on the understanding that the free zones of Upper Savoy and the District of Gex were maintained—to regulate in a manner more appropriate to the economic conditions of the present day the terms of the exchange of goods between the regions in question'.

2° Should the judgment of the Court, in conformity with the principles laid down by the Order of December 6th, 1930, compel France to establish her customs barrier on the line fixed by the provisions of the treaties of 1815 and other supplementary instruments concerning the free zones of Upper Savoy and the District of Gex, Switzerland, without making any reservation for subsequent ratification, accepts the following :

(a) The Franco-Swiss negotiations designed to secure the execution of the undertaking stated in No. 1 above shall take place, should France so request within twelve months from the date of the Court's judgment, with the assistance and subject to the mediation of three experts.

(b) Failing an agreement between the Parties and upon the request of either Party, the said experts shall be appointed from amongst the nationals of countries other than France and Switzerland, by the judge at present acting as President of the Permanent Court of International Justice for the purposes of the case of the free zones, or, should he be unable to do so, by the President of the Permanent Court of International Justice, provided these persons consent to undertake this duty.

(c) It shall rest with the experts to fix—with binding effect for the Parties—in so far as may be necessary by reason of the absence of agreement between them, the terms of the settlement to be enacted in virtue of the undertaking given by Switzerland (No. 1 above). The principles of law laid down by the judgment of the Court shall be binding on the experts, save in so far as the Parties may by mutual consent authorize them to depart therefrom."

If the French Government chooses to avail itself of this offer, it will be able to obtain in favour of the inhabitants of the zones an arrangement for the admission of their produce into Switzerland, which will not depend exclusively on the will of the Swiss Government.

It is true that, in the course of the recent hearings, the French Agent declared the Swiss proposal to be unacceptable; but it is also true that he regarded it as an offer to conclude a Special Agreement, an offer which, in this form, he had no power to entertain. It is also true that the French Agent expressed certain doubts as to the binding character, from a constitutional point of view, of the Swiss declaration; having regard to the circumstances in which this declaration was made, the Court must however regard it as binding on Switzerland.

* * *

The organization of the customs line in rear of the political frontier is a matter which necessarily must take time. It is

not a question merely of returning to the customs line in use before 1923, because after 1860, the Sardinian and the Saint-Gingolph zones were merged in the Annexation zone of 1860.

The Court, therefore, considers it appropriate that a reasonable period should be accorded to the French Government in which to comply with the terms of the present judgment. For this purpose, it fixes January 1st, 1934, as the date by which the French Government must have withdrawn the customs line so as to re-establish the free zones in accordance with the stipulations of the treaties of 1815 and 1816 and of the other acts supplementary thereto.

The period thus granted for the organization of the customs line will afford time for determining the exemptions and facilities to be given to goods imported into Switzerland from the zones in case the French Government should decide to avail itself of the Swiss Government's offer referred to above.

FOR THESE REASONS,

The Court,

by six votes to five,

decides :

In regard to the question formulated in Article 1, paragraph 1, of the Special Agreement :

That, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles, with its Annexes, neither has abrogated nor is intended to lead to the abrogation of the provisions of the Protocol of the Conference of Paris of November 3rd, 1815, of the Treaty of Paris of November 20th, 1815, of the Treaty of Turin of March 16th, 1816, or of the Manifesto of the Sardinian Court of Accounts of September 9th, 1829, regarding the customs and economic régime of the free zones of Upper Savoy and the Pays de Gex.

In regard to the questions referred to in Article 2, paragraph I, of the Special Agreement:

That the French Government must withdraw its customs line in accordance with the provisions of the said treaties and instruments; and that this régime must continue in force so long as it has not been modified by agreement between the Parties;

That the withdrawal of the customs line does not affect the right of the French Government to collect at the political frontier fiscal duties not possessing the character of customs duties;

That, as the free zones are maintained, some provision for the importation of goods free of duty or at reduced rates across the line of the Federal customs, in favour of the products of the zones, must be contemplated;

That the declaration made in regard to this question by the Agent of the Swiss Government before the Court at the hearing on April 22nd, 1932, shall be placed on record;

That January 1st, 1934, shall be appointed as the date by which the withdrawal of the French customs line shall have been effected.

Done in French and English, the French text being authoritative, at the Peace Palace, The Hague, this seventh day of June, nineteen hundred and thirty-two, in three copies, one of which shall be placed in the Archives of the Court and the others delivered to the Government of the French Republic and the Government of the Swiss Confederation respectively.

Seen.

The President of the Court:

(Signed) M. ADATCI.

(Signed) D. ANZILOTTI,

Judge acting
as President.

(Signed) Å. HAMMARSKJÖLD,
Registrar.

M. Altamira and Sir Cecil Hurst declare that they are unable to concur in the present judgment in so far as, availing themselves of the right conferred on them by Article 57 of the Statute, they have indicated their dissent therefrom in the following dissenting opinion.

M. Yovanovitch declares that he is unable to concur in the judgment given by the Court and, availing himself of the right conferred on him by Article 62 of the Rules, appends to the judgment this statement of his dissent.

M. Negulesco declares that he is unable to concur in the judgment given by the Court and, availing himself of the right conferred on him by Article 57 of the Statute, has appended to the judgment the dissenting opinion which follows hereafter.

M. Eugène Dreyfus declares that he is unable to concur in the judgment given by the Court and, availing himself of the right conferred on him by Article 57 of the Statute, has appended to the judgment the dissenting opinion which follows hereafter.

(Initialled) M. A.

(Initialled) D. A.

(Initialled) Å. H.